The Five Boxes Series · Book One

# Who's Actually Paying?

Take Any Business Apart in Five Questions

# Copyright

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**◆ Who's Actually Paying?**

*Take Any Business Apart in Five Questions* The Five Boxes Series · Book One



First English edition, 2026. Translated and adapted from the Korean edition 『돈의 해부학』

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Every figure in this book is one that could be checked in a public source. Where a number could not be confirmed, it was left out rather than estimated.

# How to Read This Book

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## ◆ The order

**Read Part One first.** Six chapters. This is where the tool ends up in your hands.

Skip to Part Two on its own and you've read a book of case studies — interesting, and gone in a week.

**Part Two doesn't have to be read in order.** Open whichever industry interests you.

But do look at **the five-box table** at the end of each chapter before moving on. Eighteen of those tables side by side become something you can compare.

**If you're in a hurry, the tables alone will do.** Every chapter is written in the same shape so that this works.

## ◆ The five words this book uses

Two of them may feel unfamiliar. Each gets explained again where it first appears, so there's nothing to memorize now.

| Word | What it means | The question it asks |
| --- | --- | --- |
| **Customer** | Not the person using it — **the person paying** | Who opens their wallet? |
| **Value** | What the customer bought. Not the product, but the problem the product removed | What are they paying for? |
| **Payment** | The **method and timing** of collection. Subscription or sale, before or after | How, and when? |
| **Moat** | The water around a castle. What stops a competitor crossing | Why hasn't anyone taken it? |
| **Fault Line** | The place where that moat starts to give way | Where does it break? |

Together, these five are **the Five Boxes**.

## ◆ Numbers and sources

Every revenue figure, share and ranking in this book carries **a year and a source.**

Sources are collected at the end of each chapter, and most are primary: company annual reports and filings, statistics from international bodies, government publications.

Numbers seen in other books or articles were traced back to the original before being used. **Anything that couldn't be confirmed isn't here.**

That's why some passages describe a direction rather than a precise amount. Between an exact number that might be wrong and a direction that is right, this book takes the direction.

## ◆ Conventions

- **Amounts stay in the currency of the original source.** They aren't converted. Exchange rates move, and a converted figure becomes a wrong figure the moment they do.

- **Bold** marks the one thing worth keeping if you remember nothing else from that paragraph.
- Where a company is not widely known outside its home market, a single clause explains what it does the first time it appears. No more than that — the unfamiliar ones are usually the most useful.

## ◆ The second book

This book covers eighteen businesses. Fifty-four were prepared.

The rest continue in **The Fourth Box — Why Some Businesses Can't Be Taken.**

Where this book weighs **how a business earns**, the second one digs into **why it gets to keep earning.** That means going much deeper into the fourth and fifth boxes.

You don't need it, though. **All five boxes are built here.**

This book finishes what it starts.

# Opening — Don't Look at Revenue. Look at the Structure

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### ◆ Some companies sell well and die anyway

There are companies whose revenue climbs every year until they collapse. And companies whose revenue sits flat while cash piles up.

If that sounds strange, it's because you've been judging businesses by **how much they sell.**

Most people looking at a business look at two numbers: revenue and profit.

**Both are results.** And a result tells you nothing about whether it will happen again next year.

Take $100 million in revenue. It can mean completely different things.

- $100 million that renews automatically, versus $100 million that has to be won again from scratch every year
- $100 million collected before the costs are paid, versus $100 million collected long after
- $100 million a competitor would need ten years to copy, versus $100 million a competitor could copy tomorrow

**Same number. Different businesses entirely.**

What makes the difference is **structure**.

## ◆ Why almost nobody looks at structure

It isn't that people can't see it. It's that they have no tool for it.

Most business books are collections of cases. This company succeeded like this, that one failed like that.

It's enjoyable while you're reading. The problem starts when you close the book. The next company you meet isn't in it, and you're stuck again.

**Read fifty cases and you still can't read the fifty-first one yourself.**

You were handed fifty fish. You weren't taught to fish.

At the other extreme are the academic frameworks — the ones with nine boxes and a list of things to fill in each. Precise, and heavy.

In practice you need something you can run in your head while reading a single news article. **Nine boxes won't fit in your head.**

What's needed is the middle. **Small enough to carry, sharp enough to actually produce an answer.**

## ◆ Five questions

This book breaks every business into five questions.

| | The question | One word |
|---|---|---|
| 1 | Who actually pays? | **Customer** |
| 2 | What are they paying for? | **Value** |
| 3 | How does the money arrive? | **Payment** |
| 4 | Why hasn't anyone taken it? | **Moat** |
| 5 | Where does it break? | **Fault Line** |

This book calls those five **the Five Boxes**.

**The order means something.** The first three ask *how it earns now.* The last two ask *whether it gets to keep earning.*

The first three explain the present. Only the last two let you judge the future.

Most people stop at one and two. *The customer is the consumer, and they buy it because the product is good.*

But **the real character of a business is decided in box three**, and **its lifespan is decided in four and five.**

### ◆ Why these five work

The five boxes are a single flow. They ask, in order, where the money comes from, where it goes, and why that flow doesn't get cut.

Money comes from a person (1). That person pays because they get something (2). How you collect changes how long the money stays with you and in what form (3). Competitors try to cut the flow and can't, for some reason (4). But that reason rests on a condition, and conditions change (5).

Follow that order and an unfamiliar company starts producing answers.

If a box won't fill, that's either a weak point in the business or a gap in what you know.

**Knowing which of the two it is already gets you halfway.**

## ◆ How this book is built

**Part One** builds the five boxes one at a time. Each gets its types laid out and a diagnostic question you can actually use.

Read only Part One and the tool is still yours.

**Part Two** dissects eighteen businesses with it. Software, food, finance, lodging, marketing, sport, national economies, farming, fishing — nine fields, two each.

The fields are scattered on purpose. **It's there to show that the five boxes don't care what industry you're in.**

If a Norwegian salmon farm and an American card network read the same way through the same frame, the frame is worth having.

Every chapter in Part Two follows the same shape. Start from a scene you know, overturn the obvious reading, fill the five boxes in order, close with one table.

**In a hurry, the tables alone will do.** Eighteen of them side by side become a database.

## ◆ What this book does not do

The five boxes look at **structure**. They don't see what's outside it.

How well a company is run, how well it uses people, how fast it decides — none of that fits in this frame. And in reality those decide outcomes too.

There are companies with excellent structure that fail on execution, and the reverse.

**The five boxes tell you the range of what's possible. They don't tell you the result.**

Better to know that limit and use the tool anyway.

## ◆ When you've finished

The goal is that you can read a company that isn't in this book.

That you open a filing, or read one news story, and fill the five boxes in your head as you go.

That you stop at the box that won't fill and think *this is where this company is weak* — or *this is where I need to look harder.*

And finally, that you fill the table in for **your own business**, or **the company you work at.**

The closing chapter is about that.

So let's begin. The first box is the customer.

**And almost everyone gets this first one wrong.**

# Part One · The Five Boxes

## ◆ The tool goes in your hands first

Six chapters. Each one takes a box, and the last one ties them together.

Cases appear only where they're needed.

The work here isn't listening to company stories. **It's learning how to ask.**

| Chapter | Box | The question |
|---|---|---|
| 1 | Customer | Who opens their wallet? |
| 2 | Value | What are they paying for? |
| 3 | Payment | How, and when? |
| 4 | Moat | Why hasn't anyone taken it? |

| Chapter | Box | The question |
|---|---|---|
| 5 | Fault Line | Where does it break? |
| 6 | Diagnosis | Filling all five in thirty minutes |

The first three boxes ask *how it earns now.*

The last two ask *whether it gets to keep earning.*

# Chapter 1 · Customer — Someone Else Is Opening the Wallet

## ◆ "Who is your customer?"

It's the question asked most often in a room where business plans get reviewed.

It's also the question that gets the wrong answer most often.

The answers come back like this. *Women in their twenties and thirties. Mid-level staff at small companies. Office workers who like to exercise.*

None of those are customers. **They're users** — the people who use the thing.

Sometimes the user and the payer are the same person. Someone buying coffee drinks the coffee. But far more businesses than you'd think don't work that way.

The question in box one is this:

> **Who opens their wallet?**

### ◆ Businesses where somebody else pays

Look around and they're everywhere.

**Broadcast television** takes nothing from viewers. Viewers watch free. The money is wired in by advertisers.

What a broadcaster sells isn't programming. It's **the viewer's time**, and the buyer is the advertiser. The viewer is closer to inventory than to a customer.

**Search** is the same. The person searching pays nothing. The moment a query is typed, an intention exists, and advertisers buy the right to sit next to it.

**Property agents** — sometimes the person touring apartments pays the fee, sometimes the other side does, and in rentals it's usually split. Which side the agent actually serves follows **whoever pays more.**

**Hospitals** treat patients, but a large share of the bill comes from insurers, not patients. So insurers belong in the hospital's customer list. It's why whether a procedure is covered changes what a hospital offers.

**Tutoring companies** teach students, but parents pay the fees. So the marketing points at parents, not students. Progress reports, phone calls home, the banner about university admissions — all of it is aimed at the wallet.

## ◆ Three shapes of customer structure

Depending on who pays, businesses fall into three shapes.

### 1. One-sided — the user pays

The simplest. Most companies that make and sell a product, restaurants, retail shops. The user is the customer, so box one fills easily.

**Simple is not an advantage.** A simple structure is one a competitor can reproduce exactly. To win in this shape you have to win in the other four boxes.

But some businesses only look one-sided. **A warehouse club that charges a membership fee** is one.

On the surface it's a shop selling goods. Except the goods are sold at close to cost, and the profit comes from the annual fee. What the customer is buying isn't merchandise — it's **the right to buy cheaply.**

Same building, same shelves, different answer in box one.

There's one test that separates them. **If a member joins and buys nothing at all, is the company better off or worse off?**

Worse off, and it's a business selling goods. Better off, and it's a business selling the right to buy.

### 2. Multi-sided — one side pays for the other

Advertising media, platforms, brokers. Two or more parties, and only one of them pays.

The core of this structure is that **the side that doesn't pay becomes the product.**

Free users aren't charity cases. They're inventory. The more inventory, the higher the price on the paying side.

Here the question that decides the business changes shape:

> Which side has to gather first before the other side follows?

Think about a card network. Without merchants who accept the card, consumers won't carry one. Without consumers carrying one, merchants won't install the terminal. Chicken and egg.

Whoever breaks that deadlock takes the market. Which is why multi-sided businesses **carry one side at a loss** early on.

That's what the waived annual fee and the reward points are. The cost gets recovered from the other side.

There's one thing you must check when reading this structure. **Does the side being carried eventually start paying, or does it never pay?**

Never having to pay is a strong business. Having to collect from them eventually is a time bomb.

Multi-sided structures have another property. **The two sides' interests collide head-on.**

More advertising pleases advertisers and drives users away. Raising the commission upsets sellers and buyers don't notice.

So running a multi-sided business is less like improving a product and more like **holding a scale level.**

Once that scale starts tipping, it's hard to recover. Selling the user experience for short-term revenue works once and not twice.

Part Two looks at companies that held the scale for a long time, alongside companies that gave up and picked a side.

### 3. Subsidized — same person, different moment

Razors and blades is the classic. Sell the handle cheap or give it away, recover on the blades. Printers and ink, consoles and games, water filters and cartridges.

It's easy to confuse with the multi-sided shape, but it isn't one. **Here there is only one payer.** They just pay a little at the start and keep paying afterwards.

The vulnerable point in this structure is **whether somebody else can make and sell the part you recover on.**

The moment third-party ink or third-party filters appear, all that's left is the loss at the front.

So these businesses, without exception, try to lock the back end. A chip goes in, a patent gets filed, the warranty gets voided. **How tightly that lock holds is the lifespan of the business.**

And the lock gets harder to hold every year. Consumer groups object, the demand for a right to repair grows louder, and regulation follows.

A business built on a lock isn't exposed to technology. **It's exposed to public opinion and regulators.**

A company in Part Two's farming section runs straight into this.

### ◆ Customer structure decides the shape of the company

The answer in box one doesn't stop at describing the business. **It determines what the company physically**

**looks like.**

**A company selling to individuals** meets a lot of people. Each sale is small, so volume has to make up for it — which means a large marketing budget and a small sales team. Payment happens instantly by card. Complaints arrive through call centres and reviews. The metrics are signups and churn.

**A company selling to businesses** meets few people. Each deal is large, so few deals will do — which means a large sales team and a small marketing budget. Payment happens through contracts and invoices over months. Complaints arrive in meetings. The metrics are deals closed and renewal rate.

**A company earning from advertising** runs two organizations at once: one that gathers users and one that sells ads. Their goals are opposite, so the meetings are permanently noisy. Managing that noise is the job.

So **box one lets you predict a company's org chart and its job listings.**

Run it backwards: if a company's open roles are almost all sales, its customers are not individuals.

## ◆ Three ways to find the real customer

Words get confusing. Do these three in order and the answer usually appears.

**One. Draw the direction of the money.**

Write down every party that deposits into the company's account. Individuals, businesses, governments, insurers. Rank them by amount. The top of that list is the first customer.

This looks too obvious to bother with. Almost nobody actually does it.

**Two. Look at whose name is on the contract.**

Someone using a free service isn't a counterparty. They accepted terms. The actual contract is with the advertiser, the merchant, the licensee. **The side with a contract is the customer.**

**Three. Watch who can move the price.**

The real customer is whoever the company takes seriously when they ask for a discount.

If users say *it's expensive* and nothing happens, but an advertiser says *lower the rate* and a meeting gets scheduled — you have your answer.

## ◆ When there's more than one customer, which comes first?

In multi-sided structures there are two or more. The way to rank them isn't by share of revenue.

**It's the bottleneck.**

Look at which side is in short supply and holding growth back. That side is the company's real customer right now.

Ad space going unsold means advertisers are the bottleneck. Advertisers queuing for space that doesn't exist means users are.

**Bottlenecks move over time.** Early on it's usually the supply side. Past a certain point it crosses to the demand side.

**Miss the moment it moves and you spend money in the wrong place.** Plenty of companies keep running user-acquisition campaigns while drowning in users.

### ◆ Change the customer and you change the business

Make the identical product, change who pays, and it's a different company.

Start selling enterprise software to individuals and the sales team becomes unnecessary while support has to grow several times over.

Go the other way — consumer product sold to enterprises — and the price per deal rises while each deal takes six months and arrives with an endless list of requirements.

So *"we're expanding our customer base"* is usually a dangerous sentence.

It isn't an expansion. **It's starting a second business.**

Some of the companies in Part Two made that transition. Some were badly hurt by it.

### ◆ Worked example — the neighborhood gym

A tool only sticks once you use it. Let's fill box one for a business everyone knows.

A gym looks one-sided. People work out, people pay dues.

Look a little closer and something strange shows up.

**The gym would prefer you didn't come.**

Someone on an annual membership who shows up daily crowds the showers, occupies the machines, uses towels, and adds cleaning hours. The fee is already collected. Only the costs grow.

Someone who signs up in January and stops coming in February has paid in full and consumes nothing.

So the real structure reads like this. Members split into **those who come** and **those who don't**, and the business uses the dues of the second group to cover the costs of the first.

**If the ratio of people who don't come collapses, the business collapses.**

Once you see that, a lot of gym behavior explains itself.

Why the deep discount is on the twelve-month plan. Why so much effort goes into the January promotion. Why they'll happily show you the facilities but charge separately for personal coaching.

And you can see where the structure gives way.

When a competitor appears offering a genuinely flexible month-to-month plan, **the people who don't come leave first.** What remains is the members who show up every day.

Revenue falls a little. Costs don't move at all. That's the moment the business turns sharply worse.

All of that came from filling in one box properly.

**That's what the five boxes do.**

### ◆ The most common failure in this box

**Believing that if you grow users, money will follow eventually.**

If there's no bridge between users and revenue, **users are a cost.** More servers, more support staff, more ways for something to go wrong.

A company with a bridge earns more as users grow. A company without one loses more as users grow.

Checking for the bridge is simple.

**Ask what happens to revenue if users go up tenfold.**

If the answer is *"ten times," there's a bridge*. If the answer is *"we'll figure that out when we get there,"* there isn't one.

### ◆ Diagnostic questions

Meeting a business for the first time, fill box one with these five.

1. Name the three largest parties depositing money into this company's account.

2. Are the user and the payer different? If so, what does the non-paying side pay with instead?
3. Which side is currently in short supply and holding back growth?
4. Who does the company least want to hear a discount request from?
5. If users went up tenfold, how much would revenue go up?

### ◆ In short

Box one looks easy, and it's where most readings go wrong.

**Get box one wrong and the other four are all wrong.** Misidentify the customer and you'll misidentify the value, design the wrong payment method, and dig a moat in the wrong place.

- The user and the customer are different. **The customer opens the wallet.**

- Customer structures come in three shapes: **one-sided, multi-sided, subsidized.**
- In a multi-sided structure, **the side that doesn't pay is the product.**
- With several customers, rank them by **bottleneck, not revenue share.**
- Without a bridge between users and revenue, **users are a cost.**

# Chapter 2 · Value — Nobody Buys the Product

## ◆ Same water, different price

A bottle of water at a corner shop is about a dollar. Past airport security it's four.

Same company, same volume, same water. Same cost to make.

**The price tripled because the alternatives disappeared.** You can't carry water through the checkpoint, and going back out means queuing again.

When someone pays four dollars, they aren't buying water. They're buying *not being thirsty, here, now.*

The question in box two is this:

**What exactly did they pay for?**

If the answer is *"our product,"* it isn't an answer yet. The product is a means.

What the customer paid for is the **inconvenience it removed** or the **state it created.**

## ◆ You sell the result, not the product

*Nobody wants a drill, they want a hole in the wall.* It's an old line.

What matters more than the line is what the view actually changes.

**Think in holes and your list of competitors changes.** A drill company competes with more than other drill companies. Adhesive hooks that need no hole, an installation service, furniture designed so nothing hangs on the wall — all competitors.

**And the basis for the price changes.** A drill's price doesn't come from the cost of its parts. It comes from **what the hole costs by other means.**

If hiring someone costs fifty dollars, a thirty-dollar drill is cheap.

## ◆ Five shapes of value

Sort out why money changes hands and you get roughly five. Few businesses are only one. Most mix two or more.

### 1. Time

The most common. Something that takes a long time yourself takes less.

Delivery, laundry, cleaning, summarizing, search, automation.

**The ceiling on price here is exact: what the customer could earn in that time.**

Save two hours for someone who earns a hundred dollars an hour and you can charge up to two hundred. Save the same two hours for someone earning ten and the ceiling is twenty.

**Same service, same hours, and the price differs by ten times depending on who the customer is.**

### 2. Risk removal

Lowering the chance of something bad, or the damage when it happens.

Insurance, security, backups, certification, legal advice, a product with a known brand on it.

**This is the best place in the world to set a price, because losses feel larger than gains.**

The risk of losing a thousand dollars weighs far more than the chance of making a thousand. So businesses that remove risk generally carry higher margins than businesses that save time.

It also has a nasty property. **The better things go, the less visible the value.**

No accident, and the premium feels wasted. Never been breached, and the security budget looks like overspending.

Which means bad news is the best salesperson this category has. Uncomfortable, and true.

### 3. Access

Getting you somewhere you can't reach alone.

Memberships, distribution, credentials, licenses, a place on a platform.

**The price here is exactly proportional to how narrow the door is.**

If anyone can walk in, the price falls to nothing. The narrower the door, the higher it climbs.

**So this type of business destroys itself by widening the door.** A membership that accepts unlimited members is not a membership.

### 4. Status

Creating a state that other people can see.

Luxury goods, a certain car, a degree, an award, equipment with a particular name on it.

**The link between cost and price is weakest here.** So the margins are the largest — and the least stable.

Status stands on other people's recognition, and the company doesn't control that. Sell more and scarcity falls. Scarcity falls and the status goes.

**It's the only type where selling more actively weakens the product.**

### 5. Certainty

Reducing the variance of the outcome. Not being excellent **— being the same every time.**

A franchise that tastes identical anywhere on earth, a delivery that arrives when it said, standardized parts, software that shows the same screen.

This one looks dull, because it isn't the best at anything.

But in business the predictable option beats the excellent one more often than people expect.

Someone in an unfamiliar city who wants a meal that won't be a mistake is not looking for the best restaurant.

**Lower variance is, by itself, worth paying for.**

### ◆ Price doesn't come from cost

Cost plus a margin is easy to calculate and usually wrong.

The basis for a price comes from one of three places.

**One. What the alternative costs.** What does the same result cost by another route? Hire someone — how much?

Do it yourself — how many hours? Don't do it at all — what's the damage?

Come in under that and it sells.

**Two. The loss avoided.** This is where risk-removal finds its number. The size of the prevented loss is the ceiling.

**Three. What the customer earns with it.** Most things sold to businesses are priced here. A machine that adds $100,000 a year can be sold for several years of that, collected up front.

**Cost only sets the floor. The ceiling is always on the customer's side.**

And the margin is decided by where between the two you choose to stand.

## ◆ Same product, different value

An identical object sells different value depending on the situation.

A pharmacy next to a hospital and a pharmacy in a residential street sell the same medicine.

The one by the hospital sells *solved within five minutes of the appointment*. The one in the neighborhood sells *near home, with someone to ask.*

As a result the two are busy at different hours, stock different things, and need different staff.

**This is the part to be most careful with in box two. Same product does not mean same value.**

Value comes from the situation, not the object.

Which is how two companies selling the identical thing end up fighting over 3% margins and comfortably keeping 30%.

## ◆ When value expires

Box two has a shelf life.

- When customers can do it themselves, **time** value goes.
- When the risk genuinely falls, **risk removal** value goes.
- When the door widens, **access** value goes.
- When everyone has one, **status** value goes.
- When competitors become equally reliable, **certainty** value goes.

Those five decay routes come back in Chapter 5, the fault line.

**Fill box two properly and half of box five is already filled.**

### ◆ Worked example — a cup of coffee

The same coffee sells something different depending on where it's sold.

**Office vending machine coffee sells time.** No going out, no queue. So expectations of taste are low, the price is low, and location is everything.

**A café seat sells access.** Two hours of space, an outlet, wifi. Which is why turnover has to be managed and the seating plan decides revenue.

**Carrying a particular cup mixes in status.** So that brand spends money on cup design, prints the logo large, and changes it every season.

**Franchise coffee sells certainty.** The choice that won't fail in an unfamiliar neighborhood. So most of the effort goes into making every location taste the same.

All four are coffee businesses. They need different capabilities and they fail for different reasons.

**Get box two wrong and you pour effort into the wrong place.** Upgrading the beans to improve vending machine coffee is exactly that mistake.

### ◆ Diagnostic questions

1. If the customer hadn't spent this money, what would have happened?
2. What does the same result cost by another route?
3. Is this value closest to time, risk, access, status, or certainty?
4. Put the same product in a different situation — does the price rise or fall?
5. What would have to change for this value to disappear?

### ◆ In short

- Customers don't buy products. They buy the inconvenience removed or the state created.
- Value sorts into five: **time, risk removal, access, status, certainty.**
- **Cost sets only the floor.** The ceiling comes from the customer's alternative.

- Same product, different situation, different value — and so different margin.
- Every value has a decay route, and that's the trailer for box five.

Next is box three. The price is set, so what's left is **how you collect it.**

Collect the same amount two different ways and you have two different companies.

### ◆ Try It Yourself

Think of **the most expensive thing** you've bought in the last month.

Write one sentence on paper:

> *If I hadn't bought this, I would have* ______.

Fill the blank, then ask the follow-up. What would that alternative have cost?

**Whatever went in the blank is what the thing was actually worth.** And it's usually not the number on the receipt.

**Nobody who has seen that gap goes back to pricing from cost.**

# Chapter 3 · Payment — When You Collect Matters More Than What

## ◆ Two sandwich shops

Two shops on the same street. Same menu, same prices, same daily takings.

The first one charges you when you finish eating.

The second sells a ten-meal card up front, and you eat against the card.

A year later their bank accounts look nothing alike.

The second shop is always holding the money for meals not yet eaten. With it, they buy ingredients in bulk at a discount, or take the lease next door, or survive a bad month.

The first shop doesn't have that money.

**Same business. Only the collection differs.**

The question in box three is this:

> **How, and when, does the money arrive?**

## ◆ Eight ways to collect

The world's payment methods sort into roughly eight.

### 1. Sales margin

Buy low, sell high. Make it and sell it. The oldest and most common.

Its defining feature is that **you have to sell it again every time.** A hundred units last month doesn't produce a hundred this month. Every month restarts at zero.

Which means when sales and marketing stop, revenue stops.

### 2. Subscription

Sell the right to use for a period, collect on a cycle.

The power here isn't the revenue. It's **the character of the revenue.** Most of this month was already decided last month.

So next month is visible, and what's visible can be invested against.

In exchange you inherit a metric that sales margin doesn't have: **churn.** Bring in a hundred new people while a hundred existing ones leave and you've stood still.

**The real fight in a subscription business is retention, not acquisition.**

### 3. Brokerage commission

Connect a transaction, take a share of it.

The appeal is that **there's no inventory and no cost of goods.** Nothing to buy in advance, no loss if it doesn't sell.

More transactions, more revenue, and nothing else moves.

The weakness comes from the same place. Once the two sides know each other, next time they deal direct.

So brokers are permanently occupied with **making it hard to be skipped.** Hold the payment. Stand in for trust. Handle the disputes. Or simply hide the contact details.

### 4. Advertising

Gather attention, then sell the attention.

This is where Chapter 1's multi-sided structure attaches. The user and the payer are different people.

Revenue here is a product of two things: **volume of attention × price of attention.** More users raises the first. Knowing more about those users raises the second.

Which is why companies that earn from advertising all collect data. And why they all end up colliding with regulators over it.

**That isn't an accident. It's the structure.**

### 5. Licensing and royalties

Don't make it — sell the right to use it. Usually an up-front fee plus a per-use rate.

This method **sells one thing many times.** Copying costs almost nothing, so more usage barely adds cost. Margins can become extreme.

But somebody else does the making. If they don't make anything, there are no royalties.

**So revenue depends not on your effort but on your customer's success.** Choosing good partners becomes most of the business.

### 6. Leasing and rental

Own it, lend it out. Equipment, space, vehicles.

You spend a lot up front and collect slowly over a long period. So it needs capital to start, and what decides the outcome is **what happens to the asset's value during the recovery period.**

You have to recover faster than the thing wears out.

### 7. Franchising

Lend the name and the method, collect a fee plus a share of sales.

It spreads much faster than opening your own locations, because **it expands using other people's money.**

In exchange you don't directly control quality at any location.

So skill in a franchise business isn't cooking. **It's building a standard and making it hold.**

### 8. Money up front

Collect first, deliver later.

The meal card above. Gift cards, deposits, annual fees, insurance premiums.

This one deserves its own section, and it gets one next.

## ◆ When you collect — working capital, the hidden force

Back to the sandwich shops. That money sitting in the second one has a name.

On the books it's a liability, because it's an obligation to deliver something not yet delivered.

But it's **a liability with no interest, no maturity, and nobody calling to collect.**

A business that takes money before spending on costs accumulates cash as it grows.

A business that spends before collecting **runs dry as it grows.**

How large that difference is doesn't show easily. Two companies can have identical income statements while one goes to the bank as it grows and the other fills its vault.

**The companies that sell well and die are usually dying on this side** — running out of cash while growing.

Revenue climbs. The money spent to produce that revenue hasn't been collected yet. The gap stacks up. And at some point there are receivables on paper and nothing in the account to pay the bank with.

So when you fill box three, don't write only the method. Write the timing.

| Check | Why |
| --- | --- |
| When money arrives | Before or after delivery |
| When costs go out | Before or after the money |

| Check | Why |
|---|---|
| The gap between them | Days, or months |
| What the gap does as you grow | Widening means cash dries up. Narrowing means the business funds itself |

Part Two has companies that pushed this to the limit — one that sells coffee while effectively running deposits, one that collects premiums and invests them.

### ◆ Same product, different collection, different company

Change box three and the company changes. Without touching the product at all.

Take software.

**Sell it as a package** and a large sum arrives at once. Revenue spikes when a new version ships and vanishes when it doesn't. So the company bets everything on one big release every few years.

The customer buys once and uses that version for a long time. They don't have to upgrade.

**Sell it as a subscription** and the first year's revenue collapses, because what used to arrive at once now arrives in twelve pieces. The company has to survive that valley for a few years.

After that, revenue accumulates. And because the customer re-judges the price every month, the company has to improve every month.

**The rhythm of product development itself changes.**

**Charge by usage** and the barrier to entry disappears. Use a little, pay a little.

But revenue now tracks the customer's business exactly. When they do well you do well. When they struggle you struggle.

Same software. Three different companies. Different capital requirements, different organizations, different survival periods, different ways to die.

### ◆ What box three decides in advance

The moment you pick a collection method, these follow. They're hard to change later.

**Predictability.** Subscription and licensing let you see next month. Sales margin doesn't. A business that can't see ahead has to keep inventory and staffing conservative, and misses opportunities in proportion.

**Capital needed.** Leasing spends heavily up front. Brokerage spends almost nothing. Someone without capital proposing a leasing business has a plan that was wrong at the first line.

**The shape of growth.** Money-up-front structures gain cash while growing, so they grow under their own power. Collect-later structures dry out while growing, so they need outside money — and dilute equity or pay interest getting it.

**Room to change.** Changing a collection method after the fact is far more dangerous than changing the product. Revenue bends once, customers get angry, and you need capital to survive the valley.

Do it anyway and you become a different company. Part Two's software section has one that made the crossing.

### ◆ Diagnostic questions

1. Which of the eight does this company use? If more than one, in what mix?
2. Does money come in first, or do costs go out first?
3. If revenue doubled, would cash increase or decrease?
4. What share of this month's revenue was already decided last month?
5. If the collection method changed, what company would this become?

## ◆ In short

- **When** you collect shapes the company more than **what** you collect.
- There are roughly eight methods: sales margin, subscription, brokerage, advertising, licensing, leasing, franchising, money up front.
- Collect-first structures gain cash while growing. Collect-later structures dry out.
- The same product with a different collection method is a different company.
- Picking this box also picks your capital needs, your organization, and the shape of your growth.

That's the first three boxes. You can now explain how a company earns **now.**

One question is left. Nobody watches a business earn this well and does nothing.

**Why hasn't anyone taken it yet?**

### ◆ Try It Yourself

Write down everything that leaves your account automatically each month. Subscriptions, insurance, phone, utilities, installments. All of it.

Next to each, write one word: **before** or **after.**

Most people are surprised by the finished list. There are more places than expected where **you have handed someone your money in advance, for free.**

Then the question flips.

> **Where am I collecting first?**

That's the moment you start seeing box three from your own side.

# Chapter 4 · Moat — What If a Competitor Shows Up With Ten Times the Money?

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## ◆ The better the business, the faster it disappears

A business making good money gets noticed. Once noticed, it gets copied. More copies push the price down. A lower price kills the margin.

**That's the default behavior of a market.**

So if a business earns for a long time, it means there is **something preventing the copy.**

This book calls that thing a **moat** — the water around a castle, there to stop anyone crossing.

The question in box four is this:

> **If a competitor shows up tomorrow with ten times the money, what can't they buy?**

That framing matters because **most "strengths" can be bought.** Good people can be hired away. Good equipment can be purchased. Good advertising can be outspent.

**Only when you can name what money can't buy do you have a moat.**

## ◆ Five moats

### 1. Economies of scale

Make more and the cost per unit falls. So the larger player sells cheaper and still profits, and the smaller one can't match the price without losing money.

One caution. **Being big isn't automatically a moat.**

Scale becomes power only when **fixed costs are a large share** — factories, research, logistics networks, software.

Things built once and used many times.

When most of the cost is materials, making ten times as many barely moves the cost per unit.

And scale has an end. Past a certain point, getting bigger stops lowering costs. **If two or more competitors have already reached that point, scale is no longer a moat.**

### 2. Network effects

The more people use it, the better it gets for each of them. Messaging, marketplaces, payment networks, standards.

**The strongest moat there is**, because a latecomer with a better product still loses. A crowded bad marketplace beats an empty good one.

But network effects come in grades.

**Same-side effects are strongest.** More users makes it better for users. Messaging works this way. Here, one person leaving hurts the ones who stay, so it rarely collapses.

**Cross-side effects are weaker.** More sellers makes it better for buyers. Marketplaces work this way. If sellers can list on several marketplaces at once, the effect is halved. When the same item is on all three, none of them is strong.

**Locally trapped effects** look national but are actually neighborhood-sized. Food delivery is the example. What matters is how many restaurants are in *your* area — a thousand in another city do nothing for you.

Which means the fight has to be won again in every neighborhood.

### 3. Switching costs

Changing is annoying, expensive, or risky, so nobody changes.

**Switching costs made of money are weak.** A competitor can simply pay them.

**Switching costs made of time and risk are strong.** Years of accumulated data. An entire staff fluent in one screen. A cutover where a single day of downtime would be a disaster.

**Money can't remove those.**

Switching costs grow quietly. Low on the day of adoption, higher every year after.

Which is why companies with this moat offer absurd discounts to new customers. **They know that once you're in, leaving is hard.**

### 4. Intangible assets

Things protected by law or by perception. Three kinds.

**Permits and licenses.** The law stops anyone else from doing it. The most certain and the laziest moat.

Certain, because a competitor with money still can't enter. Lazy, because a change in the law removes it overnight.

Part Two's fishing section has an industry that lives on this moat.

**Patents and plant varieties.** These have an end date, and that date is the moat's end date. So a company leaning on this has to prepare the next thing before expiry, or move to a moat that doesn't expire.

**Brand.** Here there's a lot of confusion. **Being well known is not a brand.**

For a brand to be a moat it has to get past *they recognize it* all the way to *they pay more for it.*

Put the same object under a different label. **Is there someone who'd pay more?** If not, that's awareness, not a moat.

### 5. Cost advantage

A structural reason you can make it cheaper than anyone else.

**Location.** A smelter next to the mine. A warehouse at the port. A shop at the station exit. Locations can't be copied, and there is a fixed number of good ones.

**Resource access.** Something that only occurs in one region. Supply locked in by long contracts.

**Process.** A method others don't know, or know-how built up over years.

But process leaks through people. **When the key staff leave, it goes with them.**

### ◆ Things that are not moats

Filtering these out is half of this chapter.

**Being first.** A head start only buys time. If you don't build one of the five inside that time, it's nothing. The list of first movers beaten by latecomers is endless.

**Superior technology.** Technology usually gets caught. It becomes a moat only when locked up by patent, or when what matters is the switching cost built on top of it.

**Technology isn't the moat. What accumulates on top of it is.**

**A great team.** People leave. A team becomes a moat only when what it built stays in the organization after it goes.

**Having a lot of money.** Capital is precisely the thing money buys. By definition it isn't a moat.

Though capital can buy time, and a real moat can be built during that time.

**Having a lot of customers.** A customer count is not a moat.

It becomes one only when those customers are connected to each other (network), or find it hard to leave (switching costs), or make the cost per unit fall (scale).

## ◆ Measuring a moat's strength

Having a moat and having a strong one are different things. Measure three ways.

**Width — how many competitors does it stop?** A moat that covers one neighborhood is not a moat that covers a country.

**Depth — what does crossing it cost?** You should be able to answer in numbers: how many years and how much money a competitor would need.

**Lifespan — how long is it valid?** Patents expire. Permits vanish when policy changes. Network effects collapse when people move elsewhere.

**A moat with an expiry date has to be worked backwards from that date.**

## ◆ Moats stack

Strong companies don't have one moat. They have several, holding each other up.

Scale makes it cheap to produce. Cheap means it sells more. Selling more accumulates data. Data improves the product. A better product makes people reluctant to switch.

Now a competitor can't break through in one place. **They have to break all of it at once.**

So when filling box four, check **how many** and **whether they interlock.**

One moat, standing alone, means everything falls when that one falls.

### ◆ Diagnostic questions

1. If a competitor arrives tomorrow with ten times the money, what can't they buy?
2. Which of the five is it? If several, do they interlock?

3. How many years and how much money would breaking it take?
4. Does this moat have an expiry date? When?
5. Has anyone actually tried to copy this and failed? Why did they fail?

**The last one is the most powerful.** A failed pursuer means the moat is proven.

If nobody has tried yet, you may not have a moat — **you may just have a small market.**

### ◆ In short

- Any business earning well will attract copies. If it hasn't been taken, there's a reason.
- Five moats: **scale, network effects, switching costs, intangible assets, cost advantage.**
- **Anything money can buy is not a moat.** That includes being first, technology, the team, and capital.
- Measure a moat by **width, depth, and lifespan.**

- Strong companies have several, and they interlock.

One box left. And it's the most important one.

**Because every moat stands on a condition, and conditions change.**

### ◆ Try It Yourself

Pick a place you go often. A café, a restaurant, a barber.

Ask one question:

> **If the price went up 20% tomorrow, would I still go?**

If yes, that place has a moat. Write one line saying what it is.

If no, it doesn't, and it's surviving on price alone.

That single question can carry this entire chapter.

**And it works just as well on a company — or on your own job.**

# Chapter 5 · Fault Line — When the Moat Turns Into a Liability

## ◆ They die because they were strong

Look at companies that collapse and most of them didn't die from laziness.

**They died from continuing to be good at the thing they were good at.**

That sounds strange until you look at the structure.

A moat is built on a condition. While the condition holds, the moat protects the company.

When the condition changes, everything poured into building that moat becomes weight.

A network of stores across a country is a moat while people go to stores. When they stop, what's left is rent and payroll.

And you can't remove a store network overnight.

**The moat has turned into a liability.**

The question in box five is this:

> **What would have to change to kill this business?**

### ◆ Write the conditions down first

The way to find fault lines is to turn the moat over.

For every moat in box four, write what has to be true for it to hold.

| Moat | The condition it needs |
| --- | --- |
| Economies of scale | Fixed costs are a large share, and the market keeps growing |
| Network effects | Users stay in one place |

| Moat | The condition it needs |
|---|---|
| Switching costs | Changing still costs real time and risk |
| Permits and licenses | The regulation stays |
| Patents | The expiry date hasn't arrived |
| Brand | People still pay more for the name |
| Location | People still come to that spot |

Written out like this, what to monitor becomes obvious.

**Watch the conditions, not the competitors.**

## ◆ Five collapse routes

### 1. Regulation changes

The most sudden. A door held shut by licensing opens, or something you were doing gets prohibited.

A cap appears on fees. Data use gets restricted. Qualification requirements relax.

A business leaning on regulation shouldn't be watching competitors. **It should be watching legislatures and ministries.**

And this change is usually announced. It's debated for years and then takes effect one day.

**Nobody failed to see it. They failed to look.**

## 2. Technology substitutes

The inconvenience you removed disappears by another route.

The thing to watch is that **substitution doesn't come head-on.** It isn't a better version of the same object. It's a different path that makes the object unnecessary.

**What killed film companies wasn't better film.**

So this risk is invisible if you're watching your own industry. You have to look through **value**, from Chapter 2.

*The inconvenience we used to remove — how are people solving it now?*

### 3. Customers move

The composition or the habits of customers change. It happens naturally as generations turn over.

**This collapse arrives slowest, which is why it's noticed last.**

Revenue doesn't crash. It declines slightly. A few percent a year doesn't feel like a crisis.

By the time anyone reacts, the average age of the customer base has climbed twenty years.

**To see it in the numbers, don't look at revenue. Look at the age of new customers.**

### 4. Suppliers revolt

The risk flagged in Chapter 3, under licensing and brokerage.

The two sides you introduced get to know each other and deal direct. The supplier who fed you starts selling to consumers. The people making the content open their own channel.

**This risk grows because you succeeded.**

The more you sell for a supplier, the bigger that supplier gets. Big enough, and they can do it alone.

So companies in this structure manage supplier size deliberately. Don't concentrate on one. Spread across several. Always keep an alternative open.

### 5. Growth undermines itself

The most frequent route, and the hardest to notice. **The act of growing the business eats the moat.**

Chapter 2's access value is the example. The price was high because the door was narrow. Widen the door to raise revenue and the price falls.

Status is the same. Sell more and scarcity goes. Scarcity goes and the status goes.

Franchises do it too. Add locations quickly and revenue rises while quality control slips. Quality slips and the certainty value collapses. Once certainty is gone, there's no reason to be a franchise.

**What makes this route frightening is that the destructive action looks like performance.**

Store count up. Revenue up. Members up. Every indicator is green.

And then it all gives way at once.

### ◆ Fault lines are usually announced

Read the record of companies that collapsed and the signals were almost always there in advance.

They weren't missed. **They were seen and not acted on.**

The reason they weren't acted on isn't competence. It's structure.

Acting requires denying the thing that currently pays the bills.

When a company that earns through stores proposes closing stores, the block comes from inside first — because the person making that decision has a job that depends on the stores.

Which is why **box five is filled better by outsiders.**

**It's easy to see in someone else's company and invisible in your own.**

That's exactly why the last chapter of this book asks you to apply the frame to your own business.

### ◆ Three ways companies handle a fault line

Finding one doesn't mean death. Companies do three things.

**Buy time.** Slow the regulatory process, lock customers into longer contracts, pile on more switching cost.

Not a solution, but it buys room to prepare the next move.

**Change moats.** Raise the brand's value before the patent expires. Build the network before the licensing opens up. The hardest option and the most durable.

**Break it yourself.** Do it before someone else does.

Moving a well-selling package product to subscription is this decision. It means accepting that revenue bends once.

**Which is why almost nobody does it.**

Part Two has a company that actually did.

## ◆ Diagnostic questions

1. For each moat in box four, what condition does it depend on?
2. Is any of those conditions currently moving?
3. To kill this business, would you touch regulation, technology, customers, or suppliers?
4. Is anything currently counted as performance quietly eating the moat?
5. If the company knows about this risk, why hasn't it acted?

The answer to the last one is rarely *"they don't know."*

Usually they know, and **acting would mean denying what pays today.**

Understanding that constraint is part of box five.

## ◆ In short

- Companies don't die from doing badly. They die from continuing to do well at the old thing.
- Every moat stands on a condition. **Write the condition down and watch it.**
- Five collapse routes: **regulation, substitution, customers moving, suppliers revolting, growth's trap.**
- The most dangerous is growth's trap, because the destructive action looks like success.
- Fault lines are usually announced. They aren't missed — they're not acted on.

All five boxes are full. The next chapter turns this into a procedure you can run in thirty minutes.

### ◆ Try It Yourself

Go back to the place you picked in Chapter 4.

If you answered *"I'd still go,"* you wrote down a reason.

Now ask the reverse.

> **What would have to change for me to stop going?**

Write three things.

Once they're written, at least one of them is probably already happening a little.

**That's the fault line.** And it was usually in plain sight.

**What you can see in someone else's shop, you can see in your own work.**

The order just matters. You have to look at theirs first.

# Chapter 6 · Diagnosis — Thirty Minutes to Fill All Five

## ◆ A tool isn't a tool without a procedure

The last five chapters settled what to ask.

But meeting an unfamiliar company for the first time, it's still unclear where to put your hands.

This chapter is the procedure. Where to get material, what order to read it in, and what to do when a box won't fill.

Once it's familiar, a first draft takes thirty minutes. The first few times it takes a couple of hours.

## ◆ Where the material comes from

**Don't start by searching the company's name.**

The top of those results is usually material the company published itself, or somebody's summary of somebody else's summary.

**Start with primary sources.**

| What you want | Where |
| --- | --- |
| A US public company's revenue structure | SEC EDGAR — the 10-K, or the 20-F for foreign issuers |
| A UK public company | Annual report, and Companies House filings |
| Large private companies | Statutory accounts, where the jurisdiction requires filing |
| How the company describes itself | The investor relations page — earnings presentations |
| The size of a whole industry | International bodies. FAO for food and fisheries, UNWTO for tourism |
| Country-level indicators | World Bank, OECD, IMF, national statistics offices |

In an annual report the first two places to look are **the description of the business** and **revenue by segment.**

**How a company chooses to divide its own reporting is the answer to box three.**

If revenue is split into advertising and subscription, that is how the company understands itself.

### ◆ The order — 3 → 1 → 2 → 4 → 5

There's a faster route than filling the boxes by number.

**Start with box three, payment.**

Payment is stated most plainly in the source material — the segment revenue table gives it to you directly.

And once you know how it collects, who pays follows. Large advertising revenue means advertisers are the customer. Large subscription revenue means users are.

| Step | Box | What you do | Time |
|---|---|---|---|
| 1 | **3. Payment** | List segment revenue, largest first | 5 min |
| 2 | **1. Customer** | For each line, name who wires the money | 5 min |
| 3 | **2. Value** | One sentence on what each of them gets | 5 min |
| 4 | **4. Moat** | Why they don't go elsewhere. Find the failed pursuers | 7 min |
| 5 | **5. Fault Line** | Invert the moat's conditions | 5 min |

**Box four takes the longest**, because it's the only box that isn't written down anywhere.

**Companies don't explain their moats. They hide them.**

## ◆ Practical ways to find box four

**Search for companies that tried and failed.** Look for the name plus *shut down, exits, discontinued*. The traces of pursuers appear. **Why they failed is what the moat is.**

**Look at where the money goes.** Research spending, capital expenditure, marketing as a share of revenue. A company spends to defend its moat. **Where the money piles up is the moat.**

**Look at contract length and renewal rates.** Long and high means switching costs exist.

**Look for a price increase.** If they raised prices and customers didn't leave, there's a moat.

**This is the strongest evidence available.** A price increase is an experiment run on the moat.

## ◆ What to do with a box that won't fill

All five filling cleanly is the exception, not the rule. An empty box means one of three things.

**One. You haven't read enough.** The most common. You didn't open the annual report, or couldn't find the segment table, or skipped a document in another language. More looking fixes this.

**Two. The company is hiding it.** It's private, or it reports segments lumped together, or it won't disclose the revenue mix.

Here **the empty box is itself information.** Ask why they won't say, and the answer usually appears.

**Three. The box is genuinely empty.** Businesses with no moat exist. So do businesses with unclear value.

**An empty box four means margins are being ground down — now, or shortly.**

**Not forcing a box is the important part.**

Fill box four with *"brand power"* or *"accumulated know-how"* and you've stopped diagnosing and started writing an impression.

If you can't produce evidence, leave it blank and write *needs checking*.

### ◆ Five common traps

**1. Copying down the company's description of itself.** Every company says it is a technology company, a platform, an innovator. **Read the revenue table, not the adjectives.**

**2. Mistaking the famous product for the main one.** The product people know and the product that earns are often different. Part Two has several of these.

**3. Being swayed by recent news.** One quarter doesn't change a structure. Look at three years minimum.

**4. Confusing growth rate with structure.** Growing fast and earning well are separate questions. **Growth rate doesn't appear in any of the five boxes.**

**5. Reading a bad business as a bad company.** There are excellent operators running structurally weak businesses.

The five boxes look at **the structure of the business**, not the ability of the company. Mixing the two clouds the judgment.

## ◆ The table format

Make it fit on one page. Filled in, it looks like this.

| Box | Item | What goes in |
|---|---|---|
| 1 | Customer | Who wires money, largest first. Mark the bottleneck |
| 2 | Value | One sentence per customer. Which of the five types |
| 3 | Payment | Which of the eight, in what mix, before or after |
| 4 | Moat | Which of the five, depth and lifespan, failed pursuers |

| Box | Item | What goes in |
|---|---|---|
| 5 | Fault Line | The moat's conditions, and which are moving now |

Every one of Part Two's eighteen chapters ends with this table.

Collect the tables and businesses from completely different industries sit side by side, comparable.

**That's where this book differs from a book of cases.**

## ◆ Comparing two companies

The real use of the five boxes shows up in comparison.

**Compare box to box only.** Comparing company A's moat against company B's payment method produces nothing.

**Find the boxes that differ first.** Two companies in the same industry usually share boxes one, two, and three.

Which means the outcome is decided in four and five. Spend the time there.

**Across different industries, start at box three.** Two companies in unrelated industries sometimes use the identical collection structure.

The moment they do, **they are the same kind of business.**

Part Two has a scene where a coffee company and an insurance company end up in the same seat.

### ◆ In short

- Start from primary sources, not search results. Filings and annual reports.
- The order is **3 → 1 → 2 → 4 → 5.** Payment first is faster.
- **Only box four isn't in the documents.** Find it in failed pursuers and price increases.

- Don't force an empty box. **The blank is information.**
- One page per table. Enough tables and you have a comparable database.

Part One is done. The tool is in your hands.

Part Two points it at eighteen businesses across nine fields.

**The first is a company that led the world and lost money for years.**

### ◆ Try It Yourself

Pick a company you care about. Where you work is fine. A brand you like is fine.

Set a timer for thirty minutes and fill it in this order:

**Box 3 → Box 1 → Box 2 → Box 4 → Box 5.**

When a box won't fill, don't force it. Write *needs checking.*

Looking at the finished table after thirty minutes, most people find two things.

There's a box they thought they knew and didn't. And a box they thought they didn't know and did.

**That table is the actual output of this book.**

Part Two is just filling it in eighteen more times.

# Part Two · Eighteen Dissections

### ◆ Why the industries are scattered

Nine fields, two businesses each. Eighteen dissections through the five boxes.

Software · food · finance · lodging · marketing · sport · national economies · farming · fishing.

Spreading them this far apart is deliberate.

**It's here to show that the five boxes don't care what industry you're in.**

If a Norwegian salmon farm and an American card network read the same way through the same frame, the frame is worth having.

## ◆ Every chapter has the same shape

| Step | What happens |
|---|---|
| 1 | **The scene** — start from something anyone would recognize |
| 2 | **The obvious reading** — what people generally assume |
| 3 | **Where the money actually goes** — boxes one, two, three |
| 4 | **Why hasn't anyone taken it?** — box four |
| 5 | **Where does it break?** — box five |
| 6 | **The five boxes** — a one-page table |
| 7 | **Could you build this where you are?** — is the structure portable |

The format is fixed for one reason.

Books of cases get boring because every chapter is written differently. **When the format holds still, only the differences in content stand out.**

## ◆ They're arranged in pairs

The two-at-a-time grouping isn't decoration.

Inside each field, two businesses that made **opposite choices** sit side by side.

Spotify and Arm are both software, and one difference in box three makes them opposite businesses.

Airbnb and Marriott both avoid owning rooms, and they run in opposite directions.

And some pairs jump across fields entirely.

**A company that sells coffee and a company that sells insurance end up in the same seat in box three.**

Seeing that is the point of Part Two.

# Chapter 7 · Spotify — Why Did the World Leader Lose Money?

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## ◆ The scene

You put your headphones in on the way to work and open the app.

On Monday morning there's a playlist built for you. Songs you've never heard, and they fit. You save a few.

The whole experience costs about as much as two cups of coffee a month. Hundreds of millions of people do the same thing.

And for years after listing, this company made almost no profit.

Market leader. Users up every year. Revenue up every year. **And nothing left at the bottom.**

That combination is unusual. Normally the leader makes the money.

## ◆ The obvious reading

Most people understand it this way:

*It sells music by subscription. It's Netflix for music. As users grow, economies of scale arrive, and eventually it turns a profit.*

The first two sentences are right. **The third is wrong.**

**Economies of scale don't really form in this business.** The reason is in the nature of the costs.

## ◆ Where the money actually goes

### Box one · Customer — who pays?

Two parties.

**Paid subscribers.** A flat fee every month. Most of the revenue.

**Advertisers.** They buy the slots that play between tracks for free users. Free users pay nothing. This is the multi-sided structure from Chapter 1.

What matters is the role free users play. They aren't charity.

They do two jobs. They are **advertising inventory**, and they are **the queue for conversion** — using it free until the ads become annoying enough.

So the free user count is simultaneously a cost and a reservoir of future revenue.

### Box two · Value — what are they paying for?

If the answer is *listening to music*, this company is already dead.

The same music is on every other service. Same songs, same quality. **The catalogue is not a differentiator** — the major labels' music is on all of them.

So what are people paying for? Two things.

**Listening without ads.** In Chapter 2's terms, that's time and certainty. Uninterrupted, skippable, downloadable.

**The removal of the effort of choosing.** This one is larger.

There are tens of millions of tracks available and a person can choose a handful in a day. Recommendation closes that gap.

What the user buys isn't music. **It's the state of not having to decide what to play next.**

Why does that distinction matter? Read it as selling music and the labels are simply suppliers. Read it as selling *the removal of choosing* and the competitor list changes.

Radio, video platforms, a friend's recommendation, and the habit of just leaving something on — all competitors.

### Box three · Payment — how does it collect?

Subscription. Collected automatically each month. Everything good about subscriptions from Chapter 3 applies: next month is broadly predictable, and cash arrives first.

**The problem is how the costs go out.**

What this company sells isn't its own. The rights belong to labels and writers.

So every time revenue occurs, a large share passes straight through to the rights holders.

The numbers make it plain. In the 2019 financial year, cost of revenue in the premium segment was **73%** of that segment's revenue. The ad-supported segment was worse, at **85%**.

And the main driver the company named for those costs rising was royalties.

By the first quarter of 2026 the premium cost ratio had come down to **65%** — still two-thirds of revenue leaving as cost.[1]

**This is what "no economies of scale" means.**

Scale economies form when fixed costs are large. Build once, sell many times, and cost per unit falls.

But this company's costs aren't fixed. **They're variable, and they move with revenue.** Double the users and royalties roughly double.

However large it gets, the cost per track doesn't fall.

That one sentence explains the entire income statement.

**It's a business where getting bigger than everyone else doesn't make you cheaper than everyone else.**

### ◆ Why hasn't anyone taken it?

A bad cost structure is equally bad for competitors. That's where box four comes from. Three layers.

**One. Scale — but on negotiation, not cost.**

Lots of users means a stronger position opposite the labels. A label can't afford to lose the largest distribution channel.

It can't lower the cost, but **it can slow the increases.** A small competitor has no such lever.

**Two. Listening history, which produces recommendation accuracy.**

The longer someone uses it, the better the recommendations fit. The better they fit, the longer they stay.

**This cannot be bought.** It requires elapsed time.

A competitor arriving tomorrow with ten times the money still cannot buy **what you skipped over the last ten years.**

**Three. The effort of moving.**

Playlists, saved tracks, followed artists, all piled up in one place. Moving means rebuilding all of it. That costs time, not money.

As Chapter 4 put it, **switching costs made of time beat switching costs made of money.**

The last two hold each other up. Longer use builds more history, more history improves recommendations, better recommendations extend use.

That loop is how this company keeps first place.

### ◆ Where does it break?

Box five is unusually clear here.

**The supplier is too strong.**

Rights are concentrated in a small number of large labels. That's Chapter 5's supplier revolt route.

**The more successful you are, the stronger your counterparty gets.** Revenue can rise and profit stay flat if royalty pressure rises with it.

**Competitors don't need this business to make money.**

For a company selling devices, or bundling several subscriptions together, music can be a loss leader.

An opponent allowed to run at a loss is fighting an opponent who must turn a profit, in the same market.

**That isn't a question of skill. It's a question of structure.**

**The source of the moat is exposed to regulation.**

Listening history produces the recommendations. And the use of that history is subject to data regulation in every jurisdiction.

As Chapter 3 said, a business earning from data colliding with regulators isn't an accident — it's the structure.

So there's a response the company actually makes.

**It moves toward owning what it sells.** Content with no royalty attached. Directly produced or exclusively licensed audio has a different cost structure.

That's the *change moats* attempt from Chapter 5.

## ◆ The five boxes

| Box | Spotify |
| --- | --- |
| **1. Customer** | Paid subscribers (primary) + advertisers. Free users are ad inventory and the conversion queue |
| **2. Value** | An ad-free state + **removal of the effort of choosing.** Time and certainty |

| Box | Spotify |
|---|---|
| **3. Payment** | Subscription, collected first. But costs are variable and track revenue, so scale economies don't form |
| **4. Moat** | Negotiating leverage · recommendation accuracy built from listening history · playlist switching costs (the last two reinforce each other) |
| **5. Fault Line** | Supplier (label) leverage · competitors who can absorb losses · data regulation |

## ◆ Could you build this where you are?

Try to build the same structure in a smaller market and three things bite.

**The supplier problem gets worse, not better.** In a smaller market, music distribution tends to be concentrated in fewer hands — and some of those hands run their own competing service.

**When your supplier is also your competitor, a distributor has essentially no way to control costs.**

**Switching costs are lower.** Where users move between services chasing a bundle or a promotion, they move before any playlist accumulates.

**If nothing piles up, the second and third layers of box four never form.**

**Which is why the available position is somewhere else.**

Not the seat that distributes the songs — **the seat that removes the effort of choosing them.**

This is where defining box two as *the effort of choosing* rather than *music* stops being wordplay and starts being strategy.

**Playing the right thing for a particular situation and taste does not require owning the catalogue.**

## ◆ Sources for this chapter

1. Spotify Technology S.A., Form 20-F (FY2019) and first-quarter 2026 results, *Cost of revenue*. Filed with the US Securities and Exchange Commission.

### ◆ Try It Yourself

Pick one subscription you currently pay for.

Judge exactly one thing:

> **If this company's users doubled, would its costs double too?**

**Yes**, and it's in the same position as the company in this chapter. However large it gets, it never gets cheaper.

**No**, and scale is a weapon it actually has.

That single question sorts companies into grades **without opening a single financial statement.**

This is where the habit of reading box three from the cost side begins.

# Chapter 8 · Arm — The Semiconductor Company That Makes No Chips

## ◆ The scene

Take the phone out of your pocket.

The processor inside it might have been made by Apple, or Qualcomm, or Samsung. Different companies, different performance, different prices.

And almost all of those chips **stand on the same company's design.**

That company has no factory. It makes no chips at all.

Calling it a semiconductor company is awkward, because what it sells isn't an object.

## ◆ The obvious reading

Say semiconductors and people picture factories. Vast clean rooms, billions in equipment, silicon wafers.

**And that's correct — for the side that makes them.**

But this industry has a separate seat that earns without making anything. That seat needs no equipment. It needs something else instead.

## ◆ Where the money actually goes

### Box one · Customer — who pays?

The payers are **the companies that make chips.** Not consumers.

Someone buying a phone pays this company nothing directly. The chip designer pays, that cost rides into the price of the chip, and the chip rides into the price of the phone.

The consumer is the final payer, three parties removed.

In Chapter 1's terms this is a one-sided structure. But the customers are companies rather than individuals, and **there are very few of them.** The world does not contain many chip design companies.

**Few customers means losing one hurts badly.** That comes back in box five.

### Box two · Value — what are they paying for?

What a chip designer buys is not a drawing. It's two things.

**Not having to build it from nothing.**

Designing a processor architecture from the ground up takes years and a large team. And an unproven design carries risk on top of the cost.

In Chapter 2's terms, that's time and risk removal together.

**The fact that the software already runs.**

This one is much larger.

Build a new architecture and no matter how good the performance, **nothing that ran before runs on it.** Operating systems, development tools, decades of accumulated software — all of it would have to be rebuilt.

So what the customer is really buying isn't a design. **It's admission to a world that already works.**

In Chapter 2's terms that's access. **And the door is very narrow.**

### Box three · Payment — how does it collect?

Chapter 3's fifth method: licensing and royalties. But collected in two layers.

**A licence fee**, paid once when buying the right to use the design. Large, and up front.

**A royalty**, paid on every chip built from that design when it sells.

The two are roughly comparable in size, with royalties slightly larger. In the 2024 financial year, licensing and other revenue was **$1,431 million** and royalty revenue **$1,802 million** — about **44 to 56.**[1]

**The time gap this creates between the two is the heart of the business.**

Years pass between selling a licence and the royalties starting. The customer has to take the design, build a chip, get that chip into a product, and get that product sold.

Which means **today's royalty revenue is the result of licences sold years ago.** And today's licence sales are booking revenue years into the future.

**A large share of this company's future revenue is already determined.**

That's Chapter 3's *predictability* pushed to its limit.

And the cost side is decisive. Once a design exists, copying it costs essentially nothing. Whether a million chips ship or a billion, this company spends almost nothing more.

**It is the exact inverse of Chapter 7.**

Spotify's costs rise with revenue. This company's don't.

**Two companies in the same industry, made into completely different businesses by one difference in box three.**

### ◆ Why hasn't anyone taken it?

**The software ecosystem — network effects.**

The more software runs on this design, the more reason a new customer has to choose it. The more companies choose it, the more software gets written.

That's close to Chapter 4's *same-side* effect, which is why it's strong.

**Optimization accumulated over time.**

Getting performance out of very little power isn't one good idea. It's decades of refinement stacked up. **Money can't buy that elapsed time.**

**Switching costs at essentially their theoretical maximum.**

Change the design and you rebuild the chip, re-port the software, and redo verification. It isn't one product that shakes — it's the entire product line.

As Chapter 4 described, that's a switching cost made of time and risk, and this is the most extreme version of it.

**Three layers, interlocked.** Breaking through one accomplishes nothing.

### ◆ Where does it break?

This business carries two risks that most don't.

**The customer is also the competitor.**

The large customers buying the design build their own design capability. Past a certain level they reduce their licensing or try to build it themselves.

It's Chapter 5's supplier revolt, inverted. **Here the customer revolts.**

And because there are so few customers, **one departure lands hard.**

**A free alternative is growing.**

An open instruction set architecture, usable by anyone, is getting larger. Today it trails on performance and ecosystem. **The problem is that its price is zero.**

This is where Chapter 2's weakness in access value shows up. The price stood because the door was narrow. A free door opening next to it shakes the price.

**This risk arrives slowly.** Like the customer-drift route in Chapter 5, it's erosion rather than collapse — so it stays invisible in revenue for a long time.

The number to watch isn't revenue. **It's the share of new designs choosing this architecture.**

**And geopolitics attaches itself.**

The fact that nearly every device on earth depends on one company's design is, by itself, a strategic problem for governments.

As Chapter 4 noted, intangible moats are exposed to law and policy.

## ◆ The five boxes

| Box | Arm |
|---|---|
| **1. Customer** | A small number of chip designers and manufacturers. So few that one departure is material |
| **2. Value** | Not building from nothing (time, risk) + **admission to a software world that already works** (access) |

| Box | Arm |
|---|---|
| **3. Payment** | Licence up front + royalty per chip. Copying costs nothing, so revenue can rise without costs rising |
| **4. Moat** | Software ecosystem (network) · decades of power-efficiency work · extreme switching costs |
| **5. Fault Line** | Large customers designing their own · erosion by a free open architecture · geopolitical regulation |

## ◆ Could you build this where you are?

Could this structure be rebuilt from a standing start? **Not easily**, and the reason is in box four.

**An ecosystem can't be bought.** It needs time, and during that time you have to give people a reason to keep supporting a design nobody uses yet.

**That is the single most hostile kind of moat for a latecomer.**

**But what this business teaches is somewhere else.**

It's about finding the seat in your own industry that sells without making — the seat where copying costs nothing.

Plenty of manufacturers have decades of accumulated process know-how.

**Sell that know-how only as physical output and revenue is chained to production capacity.** Sell the same know-how as a standard or a licence and it grows independently of capacity.

That's moving box three from sales margin to licensing.

It is not easy. To sell as a licence, the thing has to exist in a form somebody else can pick up and use — **documented, and verified.**

Most know-how lives in people's heads, and in that state it cannot be sold.

**Making that conversion is the real difficulty of this move.**

### ◆ Sources for this chapter

1. Arm Holdings plc, Form 20-F (FY2024, ended 31 March 2024), *Revenue*. Filed with the US Securities and Exchange Commission.

### ◆ Try It Yourself

Find one thing in your own work that **could be sold more than once.**

If you currently sell time, ask whether anything you made during that time could be organized into a form somebody else could pick up and use as-is.

**It will be hard to find.** Most know-how sits inside a person, and in that state it doesn't sell.

So the exercise isn't really finding one. **It's confirming there isn't one yet.**

Once you know that, you can build it. Turning know-how into something documented and verified is the entire thing this company spent decades doing.

# Chapter 9 · Domino's — The Pizza Company That Doesn't Sell Pizza

## ◆ The scene

The doorbell goes less than thirty minutes after you ordered. You open the box and it's still hot.

Count what had to work for that.

An app to take the order. Routing to send it to the nearest store. A supply chain keeping dough, cheese and sauce from running out there. An oven and a person who can finish it inside the time.

**Making the pizza is one line on that list.**

## ◆ The obvious reading

*A franchise that makes and sells pizza.*

Half right. This company sells two things, and the one people know about is often the smaller one by revenue.

That's Chapter 6's second trap. **The famous product and the earning product can be different.**

## ◆ Where the money actually goes

### Box one · Customer — who pays?

In a franchise business, box one always has two layers.

**Consumers.** They buy pizza. But most of that money is the *franchisee's* revenue, not the parent company's. Only company-owned stores send their takings up.

**Franchisees.** These are the parent company's real customers.

They pay a royalty on a share of sales, and they buy their dough, cheese, sauce and boxes from the parent's supply chain.

A significant shift happens here.

Read consumers as the customer and this is a restaurant business. **Read franchisees as the customer and it's a supply chain company and a software company.**

Which reading you take changes the competitor list and the required capabilities completely.

### Box two · Value — what are they paying for?

The two customers buy different things.

**Consumers buy certainty and speed.**

Of Chapter 2's five types, certainty and time. Nobody is after the best pizza in the world. They want food that won't be a mistake, now, arriving roughly when it said.

**Those two things are the whole business.** Taste is third.

**Franchisees buy a business in a box.**

Things that would take years alone arrive the day the contract is signed. A brand, a proven recipe, an ordering system, reliable supply, advertising.

In Chapter 2's terms, time and risk removal.

**Somebody who knows the odds of failing alone are high is paying to lower those odds.**

### Box three · Payment — how does it collect?

Several of Chapter 3's methods stacked together.

**Franchise royalties.** A share of the franchisee's sales. When the franchisee does well, the parent does well. **Interests point the same way.**

**Supply chain margin.** The parent buys dough, cheese, sauce and packaging in bulk and passes them to franchisees with a margin. This is a large share.

**Company-owned store revenue.** Some locations are run directly.

**What matters is that these three behave completely differently.**

Royalties carry almost no cost, so the margin is high. Supply is buying and passing on goods — large revenue, thin margin. Owned stores are large on both revenue and cost.

**So the revenue mix and the profit mix look nothing alike.**

That's why Chapter 6 said the segment revenue table isn't enough and you have to get to segment profit.

### Why does the parent hold the supply chain?

Couldn't franchisees just buy their own ingredients? No. Three reasons.

**One, certainty collapses.** Different cheese in every store means the food changes depending on which location you visit.

**Certainty is what the consumer bought. That's box two breaking.**

**Two, bulk buying is a real difference.** Buying national volume at once beats what an individual store can do. That gap becomes the parent's profit *and* lowers the franchisee's cost at the same time.

**Three, it becomes the moat.** That's the next section.

### ◆ Why hasn't anyone taken it?

**Density.**

Delivery is a fight about radius. There's a limit to how far one store can reach.

The tighter the stores are packed in a city, the shorter each delivery, and the shorter the delivery, the hotter the food arrives and the more runs one driver completes.

**Same revenue, lower cost.**

That's Chapter 4's economies of scale — but operating at neighborhood level, not national.

To break it, a newcomer has to open several stores in one city simultaneously. One or two produce no density, no density means slow delivery, and slow delivery means nobody orders.

**Chicken and egg again.**

**Supply chain scale.**

A distribution network handling national volume isn't built overnight.

And it interlocks with density. More stores produce volume, volume buys cheaply, cheap buying is what leaves the franchisee a profit.

**Ordering technology.**

A large share of orders arrive through the company's own app and website.

Taking the order directly wins two things: no commission to a middleman, and **a record of who ordered what, when.**

That last part is what makes this company different.

Go through a delivery platform and the record belongs to the platform. Take it directly and it belongs to you.

**Sell the same pizza, keep something different.**

### ◆ Where does it break?

**A middleman gets in between.**

When a delivery platform takes the space between the consumer and the store, three things happen at once. Commission goes out, the order record doesn't accumulate, and the consumer opens the app before the brand.

It's Chapter 5's supplier revolt experienced from the other side. **The distribution channel is being taken.**

**Density cannibalizes itself.**

Keep adding stores and past some point the new one takes the old one's customers. Total revenue rises while per-store revenue falls. Franchisees get angry.

That's Chapter 5's growth trap. **The indicators are green while franchisee profitability gets worse.**

**Supply margin puts the parent in conflict with franchisees.**

The parent profits on the supply price. To the franchisee that price is cost.

Royalties point interests the same way. **Supply points them opposite ways.**

That tension is structural in franchising, and when it worsens it ends up in court.

## ◆ The five boxes

| Box | Domino's |
|---|---|
| **1. Customer** | The parent's customer is the **franchisee.** The consumer is the franchisee's customer |
| **2. Value** | For consumers, certainty and speed. For franchisees, **a business in a box that lowers the odds of failing** |
| **3. Payment** | Royalties (high margin) + supply margin (large revenue, thin margin) + owned stores. All three behave differently |
| **4. Moat** | **Neighborhood-level density** · supply chain scale · direct ordering channel and its records |
| **5. Fault Line** | Delivery platforms entering the middle · density cannibalizing itself · franchisee conflict over supply margin |

## ◆ Could you build this where you are?

In many markets this structure can't be copied as-is, **because the third layer of box four is already gone.**

Where delivery platforms established themselves first, consumers open the platform app rather than the brand's app.

So building a direct ordering channel is possible, but **steering people to it costs money** — and that cost has a name: the discount code that only works in your own app.

**What remains available is the first two layers.**

Density and supply chain still work. And in a platform-dominated market they matter *more*, not less — because you have to still clear a profit after paying the platform's commission, which means cost has to be lower.

There's a useful inversion available here.

**Instead of reading the commission purely as a loss, read it as the price of not having to build density yourself.**

If the platform handles delivery, the need to manufacture your own density falls. That frees a choice: spend less on opening stores, and put the money into supply chain and cooking speed instead.

Which option is right comes out of comparing the commission rate against the cost of store investment.

**Saying "the commission is painful" without running that comparison is misreading box three.**

### ◆ Sources for this chapter

This chapter is written from publicly described structure only. Segment profitability and the share of digital orders are not given as figures, because primary sources for them could not be confirmed.

### ◆ Try It Yourself

Pick a place you order from often. Open the delivery platform and that restaurant's own app side by side.

Compare the price of the same item, and see where the coupons are.

If the price differs, or the coupon exists only in their own app, **that restaurant is currently spending money to win back its distribution channel.**

The difference between those two prices is what that restaurant has decided an order record is worth.

**They're doing the box four calculation for you, out loud.**

# Chapter 10 · Starbucks — Selling Coffee, Running Deposits

## ◆ The scene

You open the app and load twenty-five dollars onto the card. The coffee you're about to drink costs five. You put in twenty-five.

Every reload earns stars, and enough stars make a drink free.

At the register you scan the app's barcode. You never take out a card. The twenty dollars left over gets used next time. Next time you don't spend it all either, so you reload again.

Count what the company just got out of that scene.

It sold one cup of coffee. And it received **twenty dollars it has not yet turned into coffee.**

## ◆ The obvious reading

*A company that sells coffee.*

Not wrong. Most of the revenue does come from drinks and food.

But read it purely as a coffee company and some of its behavior stops making sense.

Why insist on the expensive corners? Why put that much effort into getting you to preload the app? Why open its own stores in some countries and merely lend its name in others?

**The answer to each question sits in a different box.**

## ◆ Where the money actually goes

### Box one · Customer — who pays?

**Consumers,** mostly. That part is simple.

But there's a second one: **the operating companies in other countries.**

In markets where it doesn't open its own stores, it lends its name and its methods to a local company and collects a royalty. Chapter 3's franchise method.

These two customers are nothing alike.

**It sells coffee to consumers and it sells a business model to local operators.**

### Box two · Value — what are they paying for?

When a consumer hands over five dollars, they're buying at least three things.

**Certainty.** In an unfamiliar city, the taste lands inside a predictable range. As Chapter 2 put it, this is a position where the winner isn't the best — it's the one with the smallest variance.

**A place to sit.** This one may actually be the larger half.

Two hours of space, an outlet, a bathroom, wi-fi. In Chapter 2's categories, that's access. **There is rent mixed into the price of the coffee.**

**A sliver of status.** The state of holding a cup with a particular logo on it. It isn't large, but it isn't zero either. That's why the cup design gets a budget.

Because all three are bundled, this business is not a contest about bean quality. Of the four things the coffee exercise in Chapter 2 separated out, this store is selling three at once.

### Box three · Payment — how does it collect?

**This is the heart of the chapter.** Three methods overlap, and the third one is unusual.

**Sales margin.** It makes drinks and food and sells them. Most of revenue.

**Royalties.** Collected from licensed international markets. Almost no cost attached.

**Money received in advance.** Chapter 3's eighth method — and this is where the company is different from its peers.

Money preloaded onto the app and the cards is a *liability* in the accounts, because it's an obligation to hand over drinks that haven't been handed over yet.

But as Chapter 3 described: **a liability with no interest, no maturity, and nobody asking for it back.**

And this liability has one more feature.

Some portion of what gets loaded is **never spent.** Cards get lost, awkward balances sit there, people stop using the app. Based on historical redemption patterns, the company recognizes that unused portion as revenue.

The accounting term is **breakage.**

The amounts aren't small. Breakage recognized in company-operated store revenue alone was $125.1 million in fiscal 2019, $130.3 million in fiscal 2020, and $164.5 million in fiscal 2021.[1]

**That is money booked as revenue without a single cup being poured.**

Put it together and here is what the company does while it sells coffee.

**It takes money from customers in advance, interest-free, and some of it it never has to repay.**

The shape is not far from a bank taking deposits and putting them to work. Except it pays no interest. It pays stars.

**The star is a currency the company issues, and the cost of issuing it is the cost of a cup of coffee.**

### Why is this structure strong?

The working capital point Chapter 3 raised is what actually happens here.

Opening more stores costs money. Fit-out, equipment, deposits. An ordinary retail business borrows that from a bank or raises it from investors. When the preloaded balance is large, part of that is funded with its own float.

And that balance **grows as the company grows.** More stores and more customers mean a larger loaded balance.

**That is the exact opposite of a business that runs dry as it expands.**

## ◆ Why hasn't anyone taken it?

**Location.**

Chapter 4's cost advantage, in its real estate form. The number of good corners is fixed. Whoever got there first holds them. Money doesn't buy a site somebody else has already signed.

**Density.**

Same principle as Domino's in Chapter 9, pointed in a different direction. Not delivery radius — **frequency of being seen.**

When there are several in one neighborhood, the brand stops being an option and becomes the default.

**Brand — specifically, a brand that can charge more.**

Chapter 4 separated awareness from brand. This company is on the far side of that line.

**If someone walks past cheaper coffee to come in here, that's a moat.**

**The switching cost the app and rewards create.**

With a balance sitting there and stars accumulated, moving feels wasteful. The sum itself is small. But **the**

**sense of losing something you've built up** is what holds people.

That isn't a money switching cost. It's a time one.

The four hold each other up. Location creates density, density hardens the brand, the brand defends the price, and the app ties the customer down.

### ◆ Where does it break?

**The value of "a place to sit" changes.**

Box two's second item rests on an assumption: that people spend their time outside the home. When remote work grows and office space disperses, that assumption wobbles.

As Chapter 5 said, **you have to monitor the conditions a moat stands on.** The distribution of busy hours across the day is the indicator for this one.

If the condition shifts, the store network turns from a moat into a liability. Leases are locked for years, so it can't be shrunk quickly either.

**The ordering method eats the store experience.**

More app orders and pickups mean faster turnover and higher revenue. The metrics improve.

But when the store fills up with a waiting line and a pickup counter, the value called "a place to sit" is damaged.

That's Chapter 5's growth trap. **The action that raises revenue is dismantling box two.**

**The relationship with local cafés.**

A business that wins on certainty only wins while the alternative is uncertain. As the quality variance of neighborhood cafés narrows, the price of certainty falls.

That's exactly the extinction path laid out at the end of Chapter 2.

### ◆ The five boxes

| Box | Starbucks |
| --- | --- |
| **1. Customer** | Consumers (primary) + international licensed operators |
| **2. Value** | Certainty + **a place to sit (access)** + a sliver of status. There is rent inside the coffee price |
| **3. Payment** | Sales margin + royalties + **money in advance.** An interest-free, no-maturity liability, part of which is never repaid |
| **4. Moat** | Location · density · a brand that can charge more · switching cost from the app and rewards |
| **5. Fault Line** | Shifting demand for "a place to sit" · app orders eroding the store experience · local cafés levelling up |

### ◆ Could you build this where you are?

Copying this whole structure into a crowded café market is hard. Location and density are already claimed, and brand takes time.

**But box three transfers across industries without caring what you sell.**

The preload structure isn't a coffee thing. It attaches to any business with repeat purchases, a small ticket size, and frequent payments.

A neighborhood salon, a car wash, a tutoring center, a gym, a restaurant — all candidates. The structure from Chapter 1's gym exercise comes back here.

Two things have to be held in view at the same time.

**One, this is a liability.** Money received has to be returned as service eventually. Spend it all on expansion and then have customers show up at once and you can't cover it.

That is roughly how prepaid-voucher disasters at small businesses happen.

**Two, without trust nobody preloads anything.**

Handing over a large sum in advance stands on a belief that the shop will still be there next year.

**The preload structure is a device that converts brand-built trust into cash.**

Introduce the prepayment without the brand and either nobody buys it, or they buy it and it ends badly.

So there's an order to this. **Build box four first, then change box three.** Doing it backwards is dangerous.

## ◆ Sources for this chapter


1. Starbucks Corporation, Form 10-K (FY2021), *Stored value cards* and *Deferred revenue* notes. Filed with the U.S. Securities and Exchange Commission (EDGAR).

### ◆ Try It Yourself

Open your phone and **add up every prepaid balance you're holding.** Coffee, transit, games, store credit, points.

Once you have the total: that money is sitting in somebody else's account right now. Interest-free.

Then turn the question around.

**Where in what you do could you be paid first?**

Changing box three is the only way to change a business without changing the product.

# Chapter 11 · Visa — The Financial Company That Lends No Money

## ◆ The scene

You tap the card at the register. About a second later it approves.

Inside that second, the terminal, the bank that issued your card, and the store's own bank exchange confirmations, check that the limit holds, and send the approval back.

The same card works overseas. The shop there doesn't know your bank and your bank doesn't know that shop. It still goes through.

The company that makes this possible takes a very small percentage of the transaction. On that very small percentage it produces one of the highest profit margins in the world.

## ◆ The obvious reading

*Card companies lend money and collect interest.*

That sentence describes **the issuing bank.** It does not describe Visa.

Visa doesn't issue cards. It doesn't set credit limits. It loses nothing when somebody defaults. **It does not lend a single dollar.**

So we call it a financial company, and it carries no credit risk.

To see what it actually is, you have to look at how a payment really moves.

## ◆ A structure with four people in it

A card payment has at least four parties.

| | Who | What they do |
|---|---|---|
| 1 | Cardholder | Pays |
| 2 | Issuing bank | Issues the card, owns the limit and the credit risk |
| 3 | Acquirer | Signs up the merchant and settles funds to them |
| 4 | Merchant | Sells the thing |

Visa is none of the four. **It is the road connecting 2 and 3.**

Most of the fee the merchant pays goes to the issuing bank. That portion is called interchange, and it's what funds card rewards and points. Visa's own cut is far smaller.

**So Visa hands most of the fee to somebody else and keeps a very thin layer.**

And its margin is still extreme. The reason is in box three.

## ◆ Where the money actually goes

### Box one · Customer — who pays?

Not the consumer. Not the merchant either, not directly.

The ones paying are **issuing banks and acquirers.** Financial institutions.

Chapter 1's instruction — *look at whose name is on the contract* — works perfectly here. Visa's counterparty is a bank, not you.

So this company's sales effort doesn't point at consumers. It points at banks. Signing up more banks to put the logo on the front of the card *is* the sales job.

The advertising, though, points at consumers. The reason is in the next box.

### Box two · Value — what are they paying for?

What a bank buys is **the state of being accepted everywhere.**

A bank can print a card with its own name on it. The problem is that a shop has to accept it. Signing contracts one by one with every merchant on earth is not something a single bank can do.

In Chapter 2's terms, access. And this door is very narrow indeed. The narrower the door, the more it can be priced — exactly as stated there.

From the merchant's side, what's being bought is **not losing the customer.** Refuse the card and that customer simply walks out.

Which is why the consumer advertising exists. Get consumers to ask *"do you take this?"* and the merchant can't afford not to.

**Consumer advertising is a device for pressuring merchants.**

### Box three · Payment — how does it collect?

Chapter 3's third method, the intermediary fee. But collected on two axes.

**Per transaction.** How many times a payment happened.

**Proportional to value.** How large the payment was.

**The decisive part is the cost side.**

Running a payment network is almost entirely fixed cost. Data centers, network links, security, people. One more transaction passing through doesn't meaningfully raise any of it.

So here's what happens.

Transaction volume rises, revenue rises with it, and cost stays roughly where it was. **Most of the added revenue falls straight through to profit.**

This is Chapter 4's economies of scale in its purest observable form.

And it is the exact opposite of Spotify in Chapter 7. There, revenue growth dragged royalties up with it, so scale was no help. Here, revenue grows without cost growing, so scale is everything.

**Same word — "intermediary" — and the nature of the cost line alone decides what grade of business you have.**

## ◆ Why hasn't anyone taken it?

**Two-sided network effect.**

Banks use the brand because many merchants accept it; merchants accept it because many people carry it. Chapter 1's chicken and egg, already solved.

A new entrant has to assemble both sides at once — tens of millions of merchants and billions of cards, simultaneously.

**Ten times the money doesn't buy this.** It takes time.

**Scale economies interlocked with the network.**

More transactions lower the cost per transaction, and lower cost allows better terms for banks. It's the "moat that has accumulated" from Chapter 4.

**Trust and regulatory approval.**

A payment network needs approval country by country, and one serious security failure ends it. To persuade banks, a new entrant needs decades of incident-free record.

### ◆ Where does it break?

The risk to this company comes not from competitors but from **three other directions.**

**Regulation.**

Complaints that merchant fees are too high exist in every country, and the number of countries capping those fees by law keeps rising.

That's Chapter 5's first path. And this risk announces itself in advance. **You don't watch competitors — you watch legislative agendas.**

**A road that goes account to account directly.**

Many countries are building real-time transfer rails between bank accounts. If that road extends into paying at shops, the reason to route through the card network shrinks.

Chapter 5's technological substitution — and here too, it doesn't arrive head-on.

**Not a better card network. A road where a card network isn't needed.**

Worth noting: **that road is usually built by governments and central banks.** Which means this risk and the regulatory risk above merge into one.

**A revolt by very large merchants.**

The biggest retailers pay very large fees in total. When they start building their own payment methods or steering customers to account transfers, volume leaks out.

That's Chapter 5's supplier revolt, experienced from the retail side.

## ◆ The five boxes

| Box | Visa |
|---|---|
| **1. Customer** | **Issuing banks and acquirers.** Neither the consumer nor the merchant is a direct counterparty |
| **2. Value** | For banks, "accepted everywhere" (access). For merchants, not losing the customer |
| **3. Payment** | Per-transaction plus value-based fees. **Cost is fixed, so added revenue is mostly profit** |

| Box | Visa |
|---|---|
| **4. Moat** | Two-sided network · scale economies interlocked with it · incident-free record and regulatory approval |
| **5. Fault Line** | Fee regulation · real-time account-to-account rails · large merchants leaving |

## ◆ Could you build this where you are?

In many markets payments already run differently. Some countries have their own domestic card scheme, and in some the same company both issues cards and acquires merchants, so the four-party structure above isn't visible in that shape.

**The box three principle transfers anyway.**

A position that charges in proportion to transaction value while its own cost is fixed. Businesses meeting that condition exist well outside payments.

Settlement processing, identity verification, shipment tracking, invoice routing — anything standing at a junction transactions must pass through, charging a toll, is a candidate.

But one thing has to be held alongside it.

**Positions like this become regulated. Without exception.**

Hold the junction and the toll becomes an issue; once the toll is an issue, the law arrives. That is the first line of Visa's box five.

So when you design a junction business, draw box four and box five at the same time.

**It is a structure where the stronger the moat, the larger the regulatory risk.**

That isn't a side effect. It's closer to the definition of this business type.

## ◆ Sources for this chapter

This chapter is written from the structure of the payment network only. The split of fees between parties is not given as figures, because primary sources for it could not be confirmed.

## ◆ Try It Yourself

Think of one thing you paid for by card today.

Write out the road that money traveled. You → merchant → acquirer → network → issuing bank.

You don't need to know who takes how much at each step. **Writing down the order is enough.**

Once the order is on paper, one thing stands out.

**You have never signed a contract with any of them.** Only with the bank that gave you the card.

Draw that path once and you'll never again forget how a business standing at a junction makes money without being seen.

# Chapter 12 · Berkshire Hathaway — How to Borrow Other People's Money for Free

## ◆ The scene

You buy car insurance. You pay a year's premium. No accident that year. You pay again the next year. Still no accident.

Where did that money go?

The insurer is holding it as money owed to the people who will, eventually, have an accident.

But *eventually* is not now. It might be months away. It might be years.

In the meantime the money sits in the insurer's account. And it is not sitting idle.

## ◆ The obvious reading

*A company that's good at investing.*

True, and half the story — with the important half missing.

There's a question you have to ask before "are they good at investing".

**Where did the money come from?**

Run the same return on your own money and on money you borrowed at interest and the results differ. Run it on money you borrowed **at no interest** and it differs again.

## ◆ Where the money actually goes

### Box one · Customer — who pays?

**Policyholders.** Individuals, businesses, or other insurers handing over their own risk under a reinsurance contract.

This company owns plenty besides insurance — railroads, energy, manufacturing, retail — and each of those has its own customers.

But read the company as a single structure and box one belongs to the policyholder. **The other businesses are largely what that money bought.**

### Box two · Value — what are they paying for?

Chapter 2's second type, risk removal. In its purest form.

What the policyholder buys is the state of not having to carry a bad event alone.

As Chapter 2 said, this type prices well, because a loss feels heavier than a gain of the same size.

And the defining trait of the type does the decisive work here.

**The money comes in first and the service is delivered later.** Payment happens only when an accident does, and nobody knows when that is.

### Box three · Payment — how does it collect?

Chapter 3's eighth method, money received in advance. The same principle as Starbucks in Chapter 10 — at a completely different scale and duration.

Premiums received but not yet paid out are what this company calls **float.**

In the accounts it's a liability, because it's money that will eventually leave.

And here is where the central calculation of the business appears.

If the claims and expenses that go out are less than the premiums that came in, the insurance operation itself makes a profit.

In that case, **you are borrowing money and being paid for the privilege.** The cost of funds is negative.

If slightly more goes out than came in, the insurance side lost money. But if that loss rate is below bank interest, **you still borrowed more cheaply than borrowing.**

Which is why this company's insurance business isn't run to get bigger. **It is run to keep the cost of funds at or below zero.**

The scale gives you a feel for it. This company's float grew from $147 billion at the end of 2021 to **$164 billion** at the end of 2022.[1] And the company defines the *cost* of that money as its underwriting result. Underwriting loss is the cost of funds; underwriting profit means **you were paid to borrow.**

That goal is not the ordinary insurer's goal.

The ordinary insurer wants market share. Wanting share means cutting price, and cutting price produces underwriting losses.

**Here, if the price isn't right, the policy isn't written.** Which is why in some years insurance revenue falls.

**Tolerating falling revenue is the actual skill in this business.** It is giving up revenue in order to protect box three.

### What does it do with the money?

Float is an unusual kind of funding. Three traits.

**It has no maturity.** Strictly speaking each policy does, but new policies keep arriving, so the total balance doesn't shrink. It keeps rolling.

**Nobody asks for it back.** Unlike a bank loan, a bad market does not trigger a demand for repayment.

**So it can wait a long time.** When everyone else has to sell in a hurry, this one doesn't — and can buy.

That third trait is closer to the real cause of this company's investment record than stock picking is.

**Not having to sell at the wrong moment mattered more than choosing well.**

### ◆ Why hasn't anyone taken it?

**The structure of permanent capital.**

Most institutions managing other people's money face redemptions. A bad stretch and the money walks. So they're chained to short-term results.

Float doesn't walk. **That's why the same strategy produces different results here.**

**Capital able to absorb very large risks.**

There are only a handful of places able to take on very large catastrophe risk or unusual one-off risk. Few competitors means the price holds.

In Chapter 4's terms that's scale — but here scale isn't output volume, it's **capacity to absorb.**

**A moat named discipline.**

Decades of holding to the rule that a policy priced wrong doesn't get written.

That looks a lot like the "good team, good culture" that Chapter 4 filed under *not a moat.*

The difference is that here it has hardened into contract structure and governance.

**A habit of individuals is not a moat. The same thing set into an institution is.**

### ◆ Where does it break?

**Size becomes the constraint.**

The larger the asset base, the larger an investment has to be to move the return. A small opportunity can be excellent and still not matter.

Chapter 5's growth trap wearing a different face. **Having gotten big lowers the ceiling on the return itself.**

**Succession.**

Discipline may be set into institutions, but whether the same judgments come out after the people who built those institutions are gone is a separate question.

Chapter 5 said to watch the conditions a moat stands on. **When a person is one of those conditions, it's a weak condition.**

**Competition in insurance intensifying.**

When a lot of capital floods into insurance markets, rates fall. Falling rates shrink underwriting profit, and the cost of funds crosses above zero. Then the premise of the whole structure wobbles.

**The indicator to watch is not investment returns. It's the underwriting result.**

## ◆ The five boxes

| Box | Berkshire Hathaway |
|---|---|
| **1. Customer** | Policyholders (individual · corporate · reinsurance). The other businesses' customers are downstream of that |
| **2. Value** | Risk removal. A position where losses weigh more than gains |
| **3. Payment** | **Money in advance (float).** The goal is not scale but keeping the cost of funds at or below zero |
| **4. Moat** | Permanent capital with no redemptions · capacity to absorb very large risks · underwriting discipline set into institutions |
| **5. Fault Line** | A return ceiling created by size · succession · rising cost of funds as insurance rates fall |

## ◆ Two financial companies side by side

Chapters 11 and 12 are both finance. And box three is the exact inverse.

| | Visa | Berkshire |
|---|---|---|
| How it collects | A toll each time a transaction passes | Paid up front, pays out later |
| Cost | Fixed. Doesn't rise with volume | Occurs later, probabilistically |
| Key metric | Transaction volume | Cost of funds (underwriting result) |
| Capital needed | Little | Enormous |
| Risk | Regulation | Accidents and catastrophes |

As Chapter 6 said, **same industry plus different box three equals a different business.**

And the reverse holds too. Starbucks in Chapter 10 and Berkshire here are in utterly unrelated industries with the same box three.

**This is the moment a coffee company and an insurance company end up standing in the same place.**

### ◆ Could you build this where you are?

An individual or a small company cannot use this structure as it stands. Insurance is a licensed business with heavy capital requirements.

**The principle still transfers.** Just change the question.

> Where in my business do I **take the money first and spend the cost later?**

Annual contracts, maintenance paid up front, deposits, memberships — all of those are that point.

And what Berkshire adds is **what you do with the money.**

Spend the advance on this month's operating expenses and it's simply shuffling cash, because the cost of the service you still owe hasn't gone anywhere.

The prepaid-voucher disaster at the end of Chapter 10 is precisely this case.

For float to become strength, two things have to hold at once.

**You must have separate capacity to cover what will go out later.** And **what you do with the money must be better than your original business.**

Fail either one and the advance isn't an asset. It's a timer.

## ◆ Sources for this chapter


1. Berkshire Hathaway Inc., 2022 Annual Report — float and underwriting results. The description of float's *cost* as the underwriting result appears in the shareholder letter in the same report.


## ◆ Try It Yourself

Find one place in your own cash flow where **money arrives first and gets spent later.**

A subscription paid annually, tuition paid in advance, a bonus received early. It doesn't matter which side of it you're on.

Once you've found it, count how many days that money sits in the account. Days? Months?

That period is the float this chapter is about. Smaller in size, identical in nature.

**And all this company did was lengthen that period and put the money to work.**

# Chapter 13 · Airbnb — Lodging With Not One Room of Its Own

## ◆ The scene

In an unfamiliar city you open the door of somebody's home. The owner isn't there. The instructions arrived by message.

There's a kitchen. There's a washing machine. Outside the window, people who actually live in that neighborhood walk past.

It isn't a hotel. And it's larger than a hotel, and usually cheaper.

The person who handed over this home may not be in the lodging business at all.

**And the company that arranged the whole thing has never been to the house.**

## ◆ The obvious reading

*A cheaper alternative to hotels.*

Read it that way and this is a lodging business. The competitors are hotels and the contest is price.

But that reading leaves something unexplained.

**A hotel that wants more rooms has to construct a building.** This company adds rooms at almost no cost.

That is a large enough difference to make "same industry" a strange thing to say.

## ◆ Where the money actually goes

### Box one · Customer — who pays?

Both sides pay. It's Chapter 1's multi-sided structure — and unusually, **it collects from both.**

**Guests** pay a fee on top of the nightly rate. **Hosts** have a fee taken out of what they receive.

Being able to charge both sides means neither side has a convincing alternative. That's a signal about the strength of box four.

But the bottleneck moves around by period and by place.

Entering a new city, there are no homes yet, so hosts are the bottleneck. Once there are enough homes, guests become the bottleneck.

As Chapter 1 said, **miss the fact that the bottleneck moved and you spend money in the wrong place.**

### Box two · Value — what are they paying for?

The two customers buy completely different things.

**What guests buy is what a hotel can't give them.**

Space, a kitchen, a washing machine, several people under one roof, the feeling of living in that neighborhood.

In Chapter 2's terms this is closest to access — reaching places and ways of staying that a hotel doesn't reach.

**Cheapness is a result, not the reason.**

If cheap were the point, a cheap hotel would be a fine substitute. What a hotel *can't* give is the core.

**What hosts buy is the conversion of an idle asset into cash.**

An empty room is an asset whose cost is already sunk. Left alone it earns zero; lent out it earns something.

Closest to Chapter 2's time type. Finding guests alone either doesn't happen or takes forever.

### Box three · Payment — how does it collect?

Chapter 3's third method, the intermediary fee. But this company's real distinguishing feature is on the cost side.

**It doesn't own the inventory.**

A hotel adding one room has to build it or buy it. For this company, the cost of one more home being listed is close to zero.

Which produces this difference.

A hotel chain doubling its rooms needs years and enormous capital. This company doubling its supply needs neither.

**It's a lodging business where the cost of adding supply is effectively zero.**

And one more thing attaches to that.

The guest pays when booking; the host is settled after check-in. For the period in between, the money sits with the company.

The advance-payment character seen in Chapters 10 and 12 is mixed in here too, in a smaller dose. The larger the business, the larger that balance.

### ◆ Why hasn't anyone taken it?

**Two-sided network effect — but at the level of a city.**

Homes attract guests, guests attract more hosts. As Chapter 4 described, this effect is strong.

There's an important qualifier, though. **This network is not global. It's per destination.**

For someone going to Paris, what matters is homes in Paris. Any number of homes in Bangkok is worth nothing to them.

So the company fights again in every city.

That's Chapter 4's "effect trapped inside a region." Same character as food delivery, and the consequence is that it's **less absolute than it looks.**

**Trust built out of reviews.**

Sleeping in a stranger's home is an inherently risky transaction. The place might not match the photos. The guest might wreck it.

Accumulated reviews and ratings, plus a compensation mechanism when something goes wrong, lower that risk.

That is an asset made of time. Money can't buy it.

A newcomer could gather every host in a city and **still not bring over a million reviews.**

**Being where the search starts.**

When people search the company's name rather than the word "accommodation," guests arrive without marketing spend.

That's Chapter 4's brand — but in the form of *I start looking here* rather than *I'll pay more for this.*

### ◆ Where does it break?

**Regulation arrives head-on.**

The number of cities restricting or effectively banning short-term rentals keeps growing. Registration regimes, night caps, outright prohibitions in residential zones.

The reason is consistent everywhere: when housing converts to lodging, rents rise and residents get pushed out.

That's Chapter 5's first path — and it is unusually dangerous for this company.

**Because the network is city-level and the regulation is city-level too.**

One city's rules can erase that city's network entirely.

**Hosts list in several places at once.**

Putting the same home on another platform costs nothing.

The weakness of Chapter 4's "effect between opposing sides" shows up exactly as described. When the same home is on three sites, the reason to be on this one shrinks.

**More professional operators means box two wobbles.**

The original value was *somebody's home* — a space with traces of the person who lives there.

But as operators running many units multiply, those homes become, in effect, small hotels.

**It sold what a hotel can't give, and it's becoming a hotel.**

That's Chapter 5's growth trap. The most efficient way to add supply quickly is to accept professional operators, and doing so eats the original value.

**The metrics improve while the identity blurs.**

## ◆ The five boxes

| Box | Airbnb |
| --- | --- |
| **1. Customer** | Guests and hosts, **both.** The bottleneck shifts by period and place |
| **2. Value** | For guests, what a hotel can't give (access). For hosts, turning an idle asset into cash |
| **3. Payment** | Fees from both sides. **Zero cost to add supply,** plus a float effect from the settlement lag |
| **4. Moat** | Destination-level two-sided network · trust built from reviews · being where the search starts |
| **5. Fault Line** | City-level regulation · hosts multi-listing · box two diluted by professionalization |

### ◆ Could you build this where you are?

In most markets this model runs into regulation first.

Short-term rental rules differ by city, by zone, and by property type, and several major cities have made the residential version close to unworkable.

**Box five climbs into first position before the business even starts.**

So using this structure means changing the question.

The question is no longer *let's rent out other people's homes.* It becomes this one.

**Where is there an idle asset in a category regulation doesn't block?**

Parking spaces, storage, office space, commercial kitchens, studios, equipment — all candidates.

All the same structure. An asset already paid for, in use only part of the time, with no way to sell the rest of the time.

But one thing has to be examined alongside it.

This model's box four is **reviews and trust.**

For reviews to have value, the transaction has to carry real money and real risk of something going wrong.

In a transaction with almost no risk, reviews don't accumulate — and with no reviews there's no moat. What's left is a fee war.

**That's the first question to ask when designing any intermediary business.**

Does this transaction need trust? If it doesn't, why would anyone go through you?

## ◆ Sources for this chapter

This chapter is written from the intermediary structure only. Fee rates on either side and revenue as a share of gross bookings are not given as figures, because primary sources for them could not be confirmed.

## ◆ Try It Yourself

Find one thing you own that is **sitting idle.**

An unused parking space, a spare room, equipment in storage, empty hours. Anything already paid for that spends most of its time doing nothing.

Once you've found it, ask one more question.

**If somebody wanted to rent this, what would make them nervous?**

Whatever removes that nervousness is this business's box four. Reviews, a guarantee, payment protection.

**A transaction with nothing to be nervous about doesn't need a middleman.**

# Chapter 14 · Marriott — The Hotel Company That Owns No Hotels

## ◆ The scene

On a work trip you see a familiar sign and walk in. The lobby layout looks like one you've seen before, check-in runs the same way, and giving your member number earns points.

The owner of that building is not the brand company.

It's a local real estate investor, or a pension fund, or a wealthy individual. The front desk staff are paid by them too.

**Only the sign belongs to the company.** And that is the entire business.

## ◆ The obvious reading

*A global hotel chain owns hotels all over the world.*

It was true once. It isn't now. Over the past few decades the large hotel brands sold their buildings.

Look at how much they sold.

At the end of 2022, this company had 1.52 million rooms under its names. Of those, **61.5%** were franchised, **36.7%** were managed on behalf of owners, and rooms it owned or leased itself came to **1.0%**.[1]

**The world's largest hotel chain owns one room in a hundred.**

Selling buildings lowers revenue. They sold anyway. Why they did is what this chapter is about.

## ◆ Where the money actually goes

### Box one · Customer — who pays?

Answer "the guest" and you're wrong.

What the guest pays for the room is **the building owner's revenue.** The brand company takes a percentage of that revenue.

So this company's customer is **the hotel owner.**

Same structure as Domino's in Chapter 9. The parent's customer is not the consumer but the franchisee.

The guest isn't the customer. The guest is **the product being sold to owners.**

*Put our brand on your building and this many people will come* is the sales pitch.

Which explains why this company works so hard on its membership program. **The more members, the stronger the thing it can say to an owner.**

### Box two · Value — what are they paying for?

What the owner buys is **the ability to have fewer empty rooms.**

Hotels are a high-fixed-cost business. Once the building exists and the staff are hired, the cost goes out whether guests come or not.

So a few percentage points of occupancy decide the profit.

An owner running a hotel alone has no obvious way to fill those rooms. Putting a brand on it brings three things.

**A reservation network.** Bookings from all over the world route to that hotel. **Membership.** Members collecting points choose that brand at equal prices. **Operating standards.** A proven way to run the place.

In Chapter 2's terms, time and risk removal.

And in practice it gets priced as a number: **how many points does occupancy rise?** If that increase beats the fee, the owner signs.

What the guest buys is the same as Domino's in Chapter 9. **Certainty.** A bed in an unfamiliar city that won't be a mistake. Points attached.

### Box three · Payment — how does it collect?

Chapter 3's seventh method, franchising. In two varieties.

**Franchise fees.** It lends only the brand. Operations are handled by the owner or another operator. A percentage of room revenue comes back.

**Management fees.** It supplies the brand and runs the hotel too. Often a revenue-linked portion plus a profit-linked portion.

Both ways, **none of its own money goes into the building.**

That is the point. It changes the entire character of box three.

Consider what owning the building does.

Building one hotel costs a great deal and that money comes back over decades. When a downturn arrives, guests fall away and the building cost doesn't move.

**Revenue swings while cost doesn't — so the losses are severe.**

Sell the building and take fees and it's different. In a downturn, fees fall too. But there's little cost going out.

**Revenue and cost move together, so losses are hard to produce.**

And the growth rate changes as well.

Grow by constructing buildings and you grow only as far as your own capital. Grow by hanging signs and you grow on other people's capital. Exactly the franchise advantage from Chapter 9.

That's why they sold the buildings. **They gave up revenue and bought stability of profit and speed of growth.**

## ◆ Why hasn't anyone taken it?

**Switching costs created by membership.**

With points accumulated and a status tier reached, moving to another brand becomes hard. People pay slightly more to stay with the brand that keeps their tier alive.

As Chapter 4 said, that's a time-based switching cost. The cash value of the points isn't large. **The sense that an accumulated status is about to vanish** is what holds people.

And this moat interlocks with the moat on the owner side.

Many members mean bookings concentrate; concentrated bookings make owners hang the sign; many branded hotels mean members can use it wherever they go.

**Each side reinforces the other.**

**The contracts are long.**

Brand agreements typically run for decades. Switching mid-term is difficult. A competing brand can offer better terms and the owner still can't move while the term runs.

**A portfolio of brands.**

Holding brands from luxury down to budget means there's something to attach whatever the location and whoever the owner is.

From the owner's side, there's only one company to talk to.

## ◆ Where does it break?

**Fees leak to online booking platforms.**

When a guest searches on a booking site rather than the brand's own app, that reservation carries a separate commission.

Same structure as Domino's meeting the delivery platforms in Chapter 9.

Worth adding: this attacks box four directly.

What was sold to the owner was *the reservation network.* If those reservations arrive from somebody else's platform, the reason to hang the sign shrinks.

**The ground the moat stands on is what's moving.**

**More brands blur the certainty.**

The more brands you create, the easier it is to recruit owners. But guests stop being able to tell the names apart.

Box two's certainty holds only while the name and the experience are one-to-one.

That's Chapter 5's growth trap. **The action that adds owners eats the guest's value.**

**It's sensitive to the economy.**

Business travel and vacations are the first things cut in a downturn. The fee is a percentage of revenue, so when revenue falls the fee falls with it.

Owning no buildings means no losses. But growth stops.

## ◆ The five boxes

| Box | Marriott |
| --- | --- |
| **1. Customer** | **Hotel owners.** The guest is the product sold to owners |
| **2. Value** | For owners, occupancy (reservation network + membership + operating standards). For guests, certainty |
| **3. Payment** | Franchise + management fees. **None of its own money goes into the building** |
| **4. Moat** | Membership switching costs · long contracts · brand portfolio. The two moats reinforce each other |
| **5. Fault Line** | Booking-platform commissions · certainty diluted by brand proliferation · economic sensitivity |

### ◆ The two faces of lodging

Chapters 13 and 14 are both lodging. And both of them **own no rooms.** The method is what differs.

| | Airbnb | Marriott |
|---|---|---|
| Suppliers | Many individual homeowners | A few professional owners |
| Relationship | Listing, no contract | Contracts running decades |
| Control | Almost none. Managed by reviews | Direct, through operating standards |
| Expansion speed | Very fast | Slow |
| Quality variance | Large | Small |
| Box two | What a hotel can't give | Not being a mistake |

**Same asset-light move, opposite directions.**

One gave up control and gained speed. The other gave up speed and reduced variance.

And each one's box five comes out of the side it chose. Airbnb wobbles on variance and regulation. Marriott wobbles on speed and the economy.

### ◆ Could you build this where you are?

Hotel management contracts already exist in most markets, so the structure itself isn't exotic.

**What's worth transferring is the box three decision itself.**

Hold the asset and book large revenue? Or hand the asset over, take fees only, and buy stability and speed?

That choice isn't specific to lodging.

Open your own stores or franchise them. Buy the equipment and provide the service, or operate somebody else's equipment. Build the factory or contract the manufacturing out.

All the same question. And the test is the same too.

> **When a downturn comes, how much cost falls alongside the falling revenue?**

If that ratio is high, you can hold the asset. If it's low, handing it over is safer.

**You decide on the flexibility of the cost, not the size of the revenue.**

Most companies make this judgment on revenue instead, and get badly hurt in the next downturn.

## ◆ Sources for this chapter

1. Marriott International, Inc., Form 10-K (FY2022), *Properties*. Filed with the U.S. Securities and Exchange Commission (EDGAR).

### ◆ Try It Yourself

Think of the **single largest fixed cost** in what you do. Office, equipment, inventory, payroll — whichever it is.

Then run the number. If revenue halved, how much would that cost fall?

If it barely falls, it's leverage in good times and a shackle in bad ones. That is why the company in this chapter sold its buildings.

**The habit of judging on cost flexibility rather than revenue size.**

Take only that one thing and this chapter has paid for itself.

# Chapter 15 · Red Bull — A Media Company That Sells Drinks

## ◆ The scene

A man steps off a platform in the stratosphere. There's a logo on the helmet. A plane threads between two cliffs. There's a logo on the wing. A mountain bike comes down a flight of city stairs. Logo on the bike.

The people who shot, cut and distributed those scenes were not an ad agency. They were the drink company's **own media organization.**

And some of that footage gets sold to broadcasters.

Not making an ad and paying to run it — **making content and being paid to hand it over.**

## ◆ The obvious reading

*A drinks company that spends an enormous amount on marketing.*

That sentence says the advertising budget is large. It reads the spending as a cost line.

But at this company, that spending goes into **building an asset.**

Ordinary advertising runs once and disappears. Next month you pay again.

The footage this company makes stays. It gets played years later, sold, recut.

Same outlay, different character in the accounts, different role in the business.

## ◆ Where the money actually goes

**Box one · Customer — who pays?**

**Consumers,** primarily. Somebody pays a few dollars for a can. Simple enough so far.

But there's a second one: **the people who buy the content.**

Broadcasters, streaming services and other brands buy footage and event rights.

That second customer is certainly far smaller than the first. And **the existence of the second is what holds the first up.** The reason is in box four.

### Box two · Value — what are they paying for?

If the only thing being bought were the stimulant effect, this company could not charge what it charges. Caffeine is available far more cheaply. Coffee exists. Cheaper drinks exist.

**What the consumer buys is a state.** And this company named that state.

People who stay up all night. People who go past the limit. People who do dangerous things.

Holding the can becomes a marker of belonging to that group.

Of Chapter 2's five types, this is **status.** And as Chapter 2 said, status has the weakest link between cost and price, which is why the margin is the largest.

That's where the content earns its place.

Status stands on the recognition of other people, and that recognition is made by stories.

**This company does not outsource the story. It makes it.**

### Box three · Payment — how does it collect?

Chapter 3's first method, sales margin. But the structure of the margin is unusual.

What's inside the can costs little. Water, sugar, caffeine, flavoring. The can and the logistics cost more than the contents. Against the retail price, the cost is still small.

So where does the difference go? Mostly into **content and events.** Buying teams, staging competitions, producing films, sponsoring athletes.

Which means the income statement of this business has to be read this way.

**Selling drinks makes content, and content makes the next drink sell.** And some of that content collects a price of its own on the side.

While that loop turns, this is a different thing from a company that keeps raising its ad budget.

**Advertising vanishes when you stop. This leaves an asset behind when you stop.**

### ◆ Why hasn't anyone taken it?

**The brand is itself intellectual property.**

Chapter 4 separated awareness from brand. This company is past that line — and further: the brand has become the source material for a content business.

A competitor can make the same liquid more cheaply. **What they can't make is the marker of belonging.**

**Owned events and teams.**

Sponsor somebody else's competition and it disappears when the contract ends. An event you built yourself doesn't disappear. Its history and its records accumulate.

That's Chapter 4's intangible asset — but not the kind with an expiry date the way a patent has one.

**Density of distribution.**

A product selling status has to be seen often. It has to be in the convenience-store cooler, the gas station, the club, the gym, the campus store — always.

That takes years and a sales organization to build.

The three layers hold each other up.

Content builds the brand, the brand builds negotiating power in distribution, distribution builds sales, sales build the content budget.

### ◆ Where does it break?

**Health regulation.**

Rules on high-caffeine, high-sugar drinks keep tightening country by country. Age restrictions on sale, warning labels, sugar taxes, advertising limits.

That's Chapter 5's first path. And this one strikes box two directly.

**Lose the ability to sell to teenagers and you lose the age at which the marker of belonging starts.**

**Generational taste moves.**

The contents of status differ by generation. What one cohort found cool the next finds embarrassing.

Chapter 5's customer-migration path — and as Chapter 5 warned, **it's the one you notice last.**

The indicator to watch is not total revenue but **the age of newly arriving customers.**

Revenue can hold steady while the customer base quietly ages along with it.

**The link between content and product can snap.**

It is entirely possible to love the videos and never buy the drink.

Make the content too well and it gets consumed on its own terms, detached from the brand.

That's close to Chapter 5's growth trap. **Past a certain point, effort spent raising the quality of the content stops converting into sales.**

Which is why this company does not remove the logo from the content. It can't.

## ◆ The five boxes

| Box | Red Bull |
|---|---|
| **1. Customer** | Consumers (primary) + media buyers of the content |
| **2. Value** | Not stimulation but **the marker of belonging to that group.** The status type |
| **3. Payment** | Sales margin (high) + content sales. **Not a marketing expense — the cost of producing an asset** |
| **4. Moat** | The brand as intellectual property · owned events and teams · distribution density |
| **5. Fault Line** | Health regulation · generational taste moving · the content-to-product link weakening |

### ◆ Could you build this where you are?

Arriving at *let's make content too* is usually how this fails. That conclusion imitates box four without looking at box three.

For this structure to hold, **the product's margin has to be able to carry the cost of production.**

A product with a high cost ratio will never recover that spend no matter how good the film is. So this model does not work in just any industry.

**Three conditions have to be met.**

One, low cost and repeat purchase.

Two, a product that can attach to identity. Dish soap and wood screws won't do it.

Three, the money and the patience to sustain the content for a long time. This does not happen in months. It becomes an asset after years.

Fewer categories satisfy all three than you'd expect.

But there's one clear family: **hobbies and their gear.**

Fishing, hiking, cycling, camping, running — areas where identity is strong and equipment is bought repeatedly. There's real room for this structure there.

The order matters, though.

**You're not making a brand with content. You're making a group with content and selling to the group.**

Reverse the order and you get view counts without revenue.

## ◆ Sources for this chapter

This company is privately held and does not publish segment financials, so this chapter is written from structure alone, without revenue figures.

## ◆ Try It Yourself

Think of a brand you like and go find the content it has made. Film, magazine, event — whatever form.

Then make a judgment. **Is it an advertisement, or is it worth watching on its own?**

If it's worth watching, that brand is in the middle of converting an expense into an asset. If it only looks like an ad, it isn't there yet.

Once you can tell the difference, you start seeing ad budgets and production budgets as different things.

**And you start seeing differently what your own work could leave behind.**

# Chapter 16 · Patagonia — The Company That Advertised Against Buying

## ◆ The scene

A full-page newspaper ad runs at the start of the biggest shopping season of the year. The photograph is one of the company's own jackets. Above it, a line of text.

**"Don't buy this jacket."**

The company that placed the ad is the company that made the jacket. And revenue that year did not fall.

## ◆ The obvious reading

*A paradoxical advertising trick. Tell people not to buy and they want it more.*

That reading treats the ad as a marketing technique.

Read it that way and anyone should be able to copy it. But when another company runs the same line, it gets mocked.

**Identical words. They work for one company and not for another.**

Where that difference comes from is what this chapter is about.

## ◆ Where the money actually goes

### Box one · Customer — who pays?

Consumers. One-sided structure. Nothing complicated here.

Except that these consumers have one particular trait. **They buy knowing it costs more.** Considerably more.

That fact is itself evidence about box four. As Chapter 6 said, if you raise the price and customers stay, there's a moat.

**Box two · Value — what are they paying for?**

Three layers. And the third one is unusual.

**That it lasts.** Chapter 2's certainty. It gets repaired, it's guaranteed for life, worn parts get fixed. Which makes the arithmetic work: divide the high price by the years and it gets cheap.

**A marker of being someone who goes outdoors.** Chapter 2's status. Same type as Red Bull in Chapter 15, different contents. There, someone who goes past the limit. Here, someone who is out in nature.

**An outward expression of your own values.**

That's the third layer, and it's the part that explains the ad.

Wearing the clothing of a company that tells you to buy less clothing becomes a way of saying *I'm on the side of buying less.*

**A structure where consumption expresses anti-consumption.** It looks like a contradiction and it works.

### Box three · Payment — how does it collect?

Chapter 3's first method, sales margin. Priced high. Two things attach to it.

**Repair services.** Generally not a money-making business. It's a cost.

But that cost is what holds up the first layer of box two. **Repair isn't an expense line. It's evidence of a promise.**

**Resale of used goods.** Worn items are taken back, refurbished, resold.

You'd expect that to cannibalize new sales. It doesn't. If you can resell it later, the real burden of buying it new is lower.

**The existence of the secondhand market is itself what holds up the price of the new one.**

Both of these are costs in the accounts and investments in the business. Same character as Red Bull's content in Chapter 15. The spending builds an asset.

### ◆ Why hasn't anyone taken it?

This is the heart of the chapter — why another company can't run the same ad.

**A long record of words matching actions.**

To be able to say *don't buy this*, you had to have spent years repairing things first. Running repair centers, honoring guarantees, taking used items back.

That record is made of time. As Chapter 4 put it, **money can't buy it.**

A competitor can turn up tomorrow with ten times the money and still not buy decades of documented behavior.

**And imitation shows.**

Use a similar line and people go look behind it. They check what that company has actually done. If it doesn't match, the mockery comes back.

**This is a stronger moat than an ordinary brand.**

An ordinary brand can be caught up with by spending more on advertising. A record of behavior can't be built with an ad budget. It needs time and real losses.

**The ownership structure secures the promise.**

If a company is sold or goes public, there's no guarantee the next owner keeps the policy. Block that risk in the ownership structure and the credibility of the promise rises.

This company actually did that in 2022.

All of the voting stock went to a trust created to protect the company's values, and all of the non-voting stock went to a nonprofit organization working on environmental issues. By economic stake, that is 2% to the trust and 98% to the nonprofit.[1]

Take the structure apart and it reads like this.

**The money goes to the environmental organization; the decision rights stay with the trust.**

Anyone who would profit from selling the company has been structurally removed.

Chapter 4 said a good team is not a moat, because people leave. **But a policy tied into an institution becomes one.** Same principle as Berkshire in Chapter 12.

### ◆ Where does it break?

**Getting bigger blurs it.**

The value of this structure stands on scarcity and authenticity. As stores multiply and the product goes mass-market, the second layer — status — weakens.

As Chapter 2 said, **it's the type where selling more makes the product weaker.**

That's Chapter 5's growth trap, and it's unusually sharp here.

**Pursuing growth conflicts with the brand's own message.** Telling people to buy less while raising the revenue target does not add up.

**There's a ceiling on the high price.**

The lasts-for-years arithmetic only works if the buyer has the room to run it. In a bad economy people stop dividing by years and look at what leaves the account today.

**More imitators make the distinction harder.**

As the number of companies advertising sustainability grows, consumers find it harder to separate the real thing from the imitation. When that happens, the value of this company's long record falls.

In Chapter 5's terms, one of the conditions the moat stands on — *that the difference be visible* — is what's moving.

### ◆ The five boxes

| Box | Patagonia |
|---|---|
| **1. Customer** | Consumers. People who buy **knowing it costs more** |
| **2. Value** | It lasts (certainty) + a marker of being outdoors (status) + **an expression of values** |
| **3. Payment** | High-price sales margin. Repair and resale are costs, and they're the investment holding the price up |
| **4. Moat** | **A long record of words matching actions** · imitation shows · a promise secured by ownership structure |
| **5. Fault Line** | Growth diluting authenticity · a high price that's fragile in downturns · imitators making the distinction hard |

## ◆ Two marketing companies

Chapters 15 and 16 are both companies that live on a brand. And the method of building the brand is opposite.

| | Red Bull | Patagonia |
|---|---|---|
| Raw material of the brand | Stories it created | Things it actually did |
| What it costs | Production budget | Profit given up |
| Speed | Years | Decades |
| Copyable | Yes, with money | Only with time |
| Relation to growth | Growth strengthens it | Growth erodes it |

**That last row is decisive.**

For one, growth grows the moat. For the other, growth cuts it down. Which is why the two companies' box fives point in opposite directions.

### ◆ Could you build this where you are?

The most common misreading of this model is the conclusion that *standing for values makes things sell.*

That misreads box four.

**This company's moat is not its values. It's its record.**

Anyone can state values. A record only exists after time passes.

Which means building this structure has an order to it.

**First, decide on an action that costs you something.**

Free repairs, no-questions refunds, published costs, full compensation for defects — pick one **thing you don't have to do and do it anyway.**

The cost has to actually go out. If it doesn't, no record forms.

**Then hold it for a long time.**

Hold it for a few years and the standing to say something arrives with it.

Speak first and act later and it backfires.

Not many companies can keep to that order.

**Which is exactly why it's a moat.** It's a moat because it's hard.

## ◆ Sources for this chapter


1. Patagonia, Inc., official ownership statement (patagonia.com/ownership) — the 2022 transfer of stock.


This company is privately held and does not publish revenue or profit, which is why no such figures appear in this chapter.

## ◆ Try It Yourself

Write down one thing in your own work that you **don't have to do and do anyway** — something you hold to at a cost.

If there isn't one, write that there isn't one.

If you wrote that there isn't one, that's normal. Most people don't have one.

Which is why the company in this chapter is strong. It's strong because it's hard.

**Pick one and hold it for three years.** After that, the standing to talk about it arrives.

Just remember the one rule: speak first and act later and it backfires.

# Chapter 17 · The NFL — A League Designed So the Small Team Can Win

## ◆ The scene

There is a team whose home city has a population of around a hundred thousand. Green Bay, Wisconsin. Smaller than most American suburbs.

That team beats teams from the largest cities in the country and wins the championship. Not once as a curiosity — repeatedly, across decades.

**In European soccer this mostly doesn't happen.** There, a handful of rich clubs win most of the time.

The difference is not luck. **It's design.** And that design is what made this league the most lucrative sports business in the world.

### ◆ The obvious reading

*In sport, the club with the most money buys the best players and wins.*

True in most leagues. And when it is true, the league as a whole loses money. The reason is in the nature of the product.

**What sport sells is not the game. It's not knowing the result.**

If everybody knows who wins, there's no reason to watch.

In a league where the strong team always wins, only the strong team's games sell. The rest of the fixtures become unsold inventory.

### ◆ Where the money actually goes

**Box one · Customer — who pays?**

Answer "the crowd in the stadium" and you'll be wrong about the scale by an order of magnitude.

The largest payers are **the broadcasters and streaming services buying the rights.**

Then sponsors. Then tickets and merchandise.

By revenue, the crowd is not large. And the league cannot do without it.

**Empty seats appear on the broadcast, and that lowers the value of the product.**

The crowd is a customer and a piece of stage scenery at the same time.

### Box two · Value — what are they paying for?

What the broadcaster buys is not programming. **It's an hour people have to watch at the same time as everyone else.**

Almost all video now can be watched later. The ads get skipped. A live game can't be, because the result isn't known yet.

So this product is **one of the last remaining places where the advertising can't be skipped.**

In Chapter 2's terms, access. And the door is extraordinarily narrow.

The principle that a narrower door prices higher shows up here in its most extreme form.

What the viewer buys is belonging. Closest to Chapter 2's status. The identity of being someone who supports a particular team mostly doesn't change for life.

### Box three · Payment — how does it collect?

Closest to Chapter 3's fifth method: licensing the right to broadcast. With two distinguishing features.

**The league sells as one.**

Clubs don't each sell their own games; the league bundles everything and sells it.

From the buyer's side, there is exactly one counterparty to negotiate with.

**When suppliers combine into one, the price goes up.** Chapter 4's bargaining power.

**The contracts are very long.**

Several years are signed at once, so the league's income is fixed years into the future.

That's the predictability of Chapter 3 taken to its limit. ARM in Chapter 8 fixed its future with royalties. Here it's fixed with the contract term.

### And then how the money is divided

**This is the heart of the chapter.**

National broadcast revenue is **split almost equally among all clubs.** The small-city team and the big-city team receive the same amount.

A cap on total player salary is bolted onto that. However rich a club is, it cannot spend beyond a set figure on players.

And the teams with the worst records draft new players first.

Those three devices do one job. **They level the playing field.**

### ◆ Why does leveling make money?

From an individual club's point of view it's a loss. The good team earns less than it could.

From the league's point of view it isn't.

When the teams are close, no game's result is known in advance. When the result isn't known, **every game sells.**

It isn't a handful of marquee fixtures carrying a price — the whole schedule becomes product.

And it loops.

Leveling → every game worth watching → broadcast rights rise in value → distributed amounts rise → small clubs stay viable → leveling holds.

**The league built a loop that reinforces itself.**

A design that shaved a little off each club's profit and made the whole pie very much larger.

### ◆ Why hasn't anyone taken it?

**A single supplier.**

There is only one top-tier league in the sport. There's no substitute. Closest to Chapter 4's intangible asset, and in practice a monopoly.

**Loyalty to the home team.**

People don't change teams. It's usually inherited from family and place.

That's a switching cost — and among Chapter 4's "costs made of time," this one is the extreme case.

**Built over a lifetime, and therefore effectively immovable.**

**Long contracts.**

Rights are locked up for years at a time, so there is no gap for a new entrant to slip into.

**The design itself.**

The leveling devices are held in place by agreement among the clubs. A new league wanting to compete would have to build the entire loop from zero.

### ◆ Where does it break?

**How people watch is changing.**

The habit of watching a three-hour game start to finish is thinning out. As viewing shifts toward short highlight clips, box two's *hour you have to watch live* shrinks.

**That is the largest risk in this business.**

It's Chapter 5's customer-migration path, and as Chapter 5 said, it comes slowly and is noticed late.

The indicator to watch is not viewer count but **average watch duration and the age of new viewers.**

**Rights get split across too many services.**

As more streaming operators enter and games scatter, viewers have to subscribe to several things. Some of them simply stop.

Short-term rights income rises while the long-term viewing base gets cut away. **Chapter 5's growth trap again.**

**Player health.**

If the physical risk of the game becomes a social issue, youth participation falls — and falling youth participation shrinks both the player supply and the fan base a decade or more later.

A very slow collapse path, which makes it easy to miss the moment to respond.

**Dependence on gambling revenue.**

As betting-related income grows, short-term revenue rises. And a single credible match-fixing allegation can break the foundation of the product: **that nobody knows the result.**

## ◆ The five boxes

| Box | The NFL |
| --- | --- |
| **1. Customer** | **Broadcast and streaming rights buyers** (largest) + sponsors + the crowd. The crowd is also stage scenery |

| Box | The NFL |
|---|---|
| **2. Value** | For broadcasters, **a place where the ads can't be skipped** (access). For viewers, belonging |
| **3. Payment** | Long-term rights sold as one bundle by the league. **Income split evenly among clubs** |
| **4. Moat** | Single supplier · lifelong local loyalty · long contracts · the self-reinforcing loop of the leveling design |
| **5. Fault Line** | Changing viewing habits · rights fragmentation · player health · gambling dependence |

### ◆ Could you build this where you are?

The instructive comparison is the one this chapter opened with.

European soccer sells its rights largely club by club, and the big clubs keep what they earn. The result is exactly what the model predicts: a handful of clubs win most seasons, a handful of fixtures carry the value, and the rest of the schedule is worth much less.

Neither design is morally superior. **They're different answers to box three, and box three decided what each product is.**

What's worth transferring from this chapter lives outside sport entirely.

> **A design that shaves a little off each participant's profit to make the whole pie bigger.**

Group purchasing by franchisees, joint marketing by a merchants' association, a common standard agreed among companies in one industry — all the same structure.

Two conditions have to hold.

**One, selling as a bundle has to demonstrably fetch more than selling separately.**

**Two, the strong participant has to have a reason to accept the loss.**

The second is the hard one, because the strong one could just go alone.

The reason it worked in this league is a single fact: **even the best team needs an opponent for there to be a game at all.**

Alone, it cannot make the product.

So the territory where this design is possible is defined. **It works where participants need each other for the product to exist.**

Try equal distribution anywhere else and the strongest participant leaves first.

### ◆ Sources for this chapter

This chapter is written from the league's revenue-sharing design only. Broadcast rights as a share of total league revenue is not given as a figure, because primary sources for it could not be confirmed.

### ◆ Try It Yourself

Think of one group or industry you belong to.

Then ask: **is there something that would fetch more if it were sold as a bundle?**

Group purchasing, joint marketing, a shared standard — anything.

If there is, the next question is the genuinely hard one.

**Why would the strongest participant accept a loss?**

In this league there was exactly one reason. Alone, there is no game.

**This design works only where the participants need each other for the product to be finished.**

# Chapter 18 · Formula One — The Race Cities Pay to Host

## ◆ The scene

Someone with no interest in motorsport watches a documentary series and becomes a fan. There's more footage of conflict between teams, of a team principal's decisions, of a driver's anxiety, than of racing.

And the race happens in a different country each time. Some cities close their downtown streets and build a circuit out of them.

That cost is paid by the city. **The organizer receives money from the city.**

## ◆ The obvious reading

*A motor racing series.*

Read it that way and the customer is the spectator and the revenue is tickets.

But tickets are not a large line in this business.

**The biggest customer is the city or government that hosts the race.**

The NFL in Chapter 17 collected most from broadcasters. Here it collects from broadcasters *and* hosts — and the host side is the unusual one.

## ◆ Where the money actually goes

### Box one · Customer — who pays?

**Host venues.** They pay for the right to hold the race. Usually a government or tourism authority provides the funding.

**Broadcasters and streamers.** They buy the rights.

**Sponsors.** They put names on the track, the cars, and the screen.

Spectators are mostly the host's revenue, not the organizer's main income.

Here Chapter 1's lesson appears exactly as taught.

**The visible party and the paying party are different.** What's on screen is the crowd. What pays is the city.

### Box two · Value — what are they paying for?

What the city buys is not a race. **It's a few hours of being shown to the world.**

The broadcast keeps returning to that city's skyline, its coastline, its lights at night.

Work out what buying that much tourism advertising would cost and you have the price.

As Chapter 2 said, **the reference for a price is not the cost — it's the value of the alternative.**

One more thing attaches. The spending of the visitors who arrive for those few days. Hotels, restaurants, flights.

Which is why the more tourism-dependent the city, the more it is willing to pay.

What the broadcaster buys is the same as Chapter 17. **Live, and therefore unskippable.**

### Box three · Payment — how does it collect?

**The hosting fee is paid in advance, on a long contract.**

Several years are signed up front, usually with an annual escalator built in. Chapter 3's predictability taken to its limit again.

**And the cost is transferred to the host.**

Building the circuit, closing the roads, installing safety infrastructure, staffing it — all paid by the host, not the organizer.

Put that together.

**The organizer is paid first, and somebody else spends the cost.**

Of all the working capital structures in Chapter 3, that's the most favorable shape there is.

## What the documentary did

One thing changed in this business recently. **Box two widened.**

A product previously sold only to people who like racing began to be sold to people who like stories about people.

You don't need to know the cars or the records to follow a team principal's decision or a driver's conflict.

That didn't change the product. **It widened the entrance.**

And when the entrance widened, the other two customers paid more. More viewers raise the price of the rights; more exposure supports a higher hosting fee.

**The content didn't earn money directly. It raised the price in the other boxes.**

### ◆ Why hasn't anyone taken it?

**There is only one top tier.**

Same as Chapter 17. No series of equivalent standing exists to substitute for it.

**Cities compete with each other.**

When more cities want a race than there are slots on the calendar, the organizer sets the price.

Chapter 4's access type, and the principle holds exactly: **the narrower the door, the higher the price.**

**Teams can't leave.**

A team has already sunk enormous money into cars, an organization and facilities built for this specific series.

Move to another competition and most of that becomes meaningless.

Chapter 4's switching cost made of time and risk.

**The organizer writes the rules.**

The power to set technical regulations and a budget cap *is* control of the sport.

It plays the same role as the leveling devices in Chapter 17. Let the gap grow too wide and the results become obvious, and once they're obvious the product dies.

## ◆ Where does it break?

**The host can't pay, or won't.**

Hosting fees are usually public money. Which exposes them to public opinion and to elections.

Once the question *why are our taxes subsidizing a motor race* is being asked, the contract doesn't get renewed.

**That's the first risk in this business.** Chapter 5's regulatory and political path.

And when it overlaps with a recession, it can happen in several cities at once.

**Environmental pressure.**

This is a series that flies around the world to run fossil-fuel cars. The stronger sustainability norms get, the harder hosting is to justify.

It works in the direction of enlarging the risk above.

**The widened entrance may be a one-off effect.**

Whether viewers who arrived through a documentary stay is a separate question.

People who came for the human stories leave when the human stories stop being interesting.

Chapter 5's customer-migration path — and **the indicator to watch is not arrivals but retention.**

## ◆ The five boxes

| Box | Formula One |
| --- | --- |
| **1. Customer** | **Host cities and governments** + broadcasters + sponsors. Spectators are the host's customers |
| **2. Value** | For the city, a few hours shown to the world (priced against tourism advertising). For broadcasters, live |
| **3. Payment** | Long-term prepaid hosting fees + rights + sponsorship. **The host spends the cost** |
| **4. Moat** | A single top tier · cities bidding against each other · teams' sunk costs · control of the rulebook |
| **5. Fault Line** | Host finances and public opinion · environmental norms · retention of newly arrived fans |

## ◆ Could you build this where you are?

What transfers from this structure is a single question: **who spends the cost?**

A business that runs events, competitions, festivals or conferences usually thinks about it this way. Rent a venue, gather people, sell tickets.

Which means spending the cost first and getting paid later. The least favorable structure in all of Chapter 3.

Formula One's method is the inverse.

**Take the money from the side that wants to host it, and let that side spend what it takes to set the stage.**

For that to be possible, one condition has to hold.

**The event happening must itself be a benefit to the party hosting it.**

For a city, tourism and exposure. For a company, access to talent. For a university, reputation.

So building this structure means answering one question first: **who wants this event to happen in their town?**

If there's no answer, the hosting-fee model doesn't work and you have to sell tickets.

**And for an answer to exist, it has to happen first.**

The first few times, you pay for it yourself. **That order cannot be skipped.**

## ◆ Sources for this chapter

This chapter is written from the hosting structure only. The revenue mix by segment is not given as figures, because primary sources for it could not be confirmed.

## ◆ Try It Yourself

Imagine one event or gathering. Small is fine.

Then ask: **who would want this held in their town, at their company?**

If somebody comes to mind, that's who you can charge a hosting fee. If nobody does, you have to sell tickets. That's the whole chapter.

**But for somebody to come to mind, you have to hold it a few times on your own money first.**

That order can't be skipped, and trying to skip it is where most of these stop.

# Chapter 19 · Singapore — The Country Whose Only Product Was Its Location

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## ◆ The scene

A plane lands. It isn't the destination. It's where you change planes. Two hours later you board another one. In between you eat and buy things inside the airport.

The same thing happens at sea.

A large ship sets down containers, smaller ships pick them up and scatter. Those containers are never used in this country. **They're only passing through.**

There is a country that collects money on things passing through.

## ◆ Reading a country as a business

This chapter and the two after it are about countries.

A country is not a company. But **reading one through the five boxes shows you something.**

A country also receives money from somebody (box one). Those people pay because they get something (box two). Whether it's collected as tax or as a fee changes its character (box three). There are reasons they don't move to another country (box four), and there are points where those reasons wobble (box five).

The usefulness of this lens is a single thing.

**It lets you read a country's policy as structure rather than as morality or ideology.**

## ◆ The obvious reading

*A small rich country. It got there by being well run.*

That it is well run is true. And it doesn't explain enough on its own. There are several well-run small countries.

What's unusual about this one is that **it sells while having nothing to sell.**

No resources. No farmland. Not enough water. A small domestic market.

What it has is one thing. Location.

## ◆ Where the money actually goes

### Box one · Customer — who pays?

Citizens pay taxes, of course. But the distinguishing feature of this country is **money that comes from outside.**

**Shipping lines and cargo owners.** They pay fees to pass through the port. **Multinational companies.** They put a regional headquarters here and pay corporate tax.

**Wealthy individuals and institutions.** They place assets here and pay fees. **Transit passengers and visitors.** They spend at the airport and in the city.

Through Chapter 1's lens this is an unusual structure.

**The primary customers are not citizens but foreigners and foreign companies.**

Which is why this country's policy responds more sensitively to the judgment of foreign customers than to domestic opinion.

### Box two · Value — what are they paying for?

Three things. Each a different one of Chapter 2's types.

**Location — access.**

The point where Southeast Asia, the Indian Ocean and the Pacific meet. Large ships have to pass in front of it. Unloading and redistributing cargo on the way past is cheaper than any other route.

**Certainty — that contracts get honored.**

This is the largest one.

To place large sums here or put a headquarters here, a dispute has to produce a predictable judgment, and the rules have to survive a change of government.

As Chapter 2 said, certainty is boring and strong. **Its price rises with the number of uncertain options nearby.**

A substantial part of this country's price comes out of its neighbors' uncertainty.

**Time — fast administration.**

Incorporating, getting licensed, bringing people in — all of it takes little time.

Chapter 2's first type, and for a corporate customer that is money directly.

### Box three · Payment — how does it collect?

Several methods overlapping.

**Tax.** Corporate and personal income tax, with rates kept low. Lower the rate and widen the base.

**A textbook decision to cut unit price and grow volume** — and one that only works when box four is holding it up.

**Fees.** Port, airport, licenses and permits.

Closest to Chapter 3's intermediary fee. A toll on things passing through. Same character as Visa in Chapter 11. **The cost is largely fixed, so added volume stays as profit.**

**Sovereign fund management.** Accumulated assets are invested for a return.

Similar in shape to Chapter 12 — except this isn't float. It's already the country's own money.

### ◆ Why hasn't anyone taken it?

**Geography can't be copied.**

Chapter 4's cost advantage in its location form. The simplest and most certain kind there is.

**A reputation for rule of law is made of time.**

The belief that contracts get honored doesn't arrive by declaration. It requires decades of a record of them actually being honored.

The same kind of moat as Patagonia in Chapter 16. **Money can't buy it, and time is required.**

**Being clustered is itself power.**

Many financial institutions attract talent, and gathered talent attracts more institutions. Law firms, accounting firms and arbitration bodies have to be present for the transactions to run.

Chapter 4's network effect, operating at the level of a city.

**A combination of language and institutions.**

Working in English while sitting inside the Asian market is a rare pairing.

## ◆ Where does it break?

**If the neighbors improve, the price falls.**

Box two's certainty is a relative value.

As surrounding countries' legal systems and ports improve, the reason to route through here shrinks.

Exactly the extinction path from Chapter 5. **When competitors also become stable, certainty loses its price.**

**International tax norms change.**

Attracting companies with low corporate tax has become a target of international agreement.

Once a norm takes hold requiring a minimum tax wherever the headquarters sits, the pull of a low rate weakens.

Chapter 5's regulatory path — and in this case **it's an international agreement rather than a single country, so it can't be dodged.**

**There aren't enough people.**

The population is small, so growth requires bringing in foreign labor. And the more that comes in, the higher housing costs go and the louder citizens' complaints get.

Chapter 5's growth trap. **The instrument of growth eats political sustainability.**

**Geopolitics.**

A structure dependent on a narrow strait wobbles when the safety of that strait does.

And it has to maintain a position of taking neither side between large countries. That is not a variable controlled by competence.

## ◆ The five boxes

| Box | Singapore |
|---|---|
| **1. Customer** | **Foreign companies, shipping lines, asset holders** primarily. Citizen tax revenue comes after |
| **2. Value** | Location (access) + **that contracts get honored** (certainty) + fast administration (time) |
| **3. Payment** | Low-rate taxes + toll-like fees + sovereign fund returns |
| **4. Moat** | Geography that can't be copied · decades of rule-of-law record · clustered financial talent · language and institutions |
| **5. Fault Line** | Neighbors improving · international tax norms · the political limit on immigration · geopolitics |

## ◆ Could you build this where you are?

Transplanting a national strategy is beyond this book. What this chapter's structure offers instead is **a lesson at company scale.**

Reduce this country's business structure to one sentence and it reads:

> **Let something that isn't yours pass through, and charge for the passage.**

Same as Visa in Chapter 11, and close to Airbnb in Chapter 13. **A position that doesn't own — it lets things through.**

The advantages of that position are exactly as Chapter 3 described. No inventory, fixed cost, and volume that converts straight into profit.

And the method of defending the position comes out the same in all three cases.

**Make it so the thing passing through can't skip you.**

Singapore does it with geography and rule of law. Visa does it with the network. Airbnb does it with reviews.

So there is one question to ask when designing a business that lets things through.

> **If the two sides met directly without me, what would fail?**

If there's no answer, the position won't last. The closer the answer is to *nothing at all would work*, the stronger it is.

## ◆ Sources for this chapter

This chapter is written from the country's revenue structure only. Industry shares and transshipment volumes are not given as figures, because current primary sources for them could not be confirmed.

## ◆ Try It Yourself

Look for a place in your own work where **something that isn't yours passes through.** Information, goods, money, people.

If there's one, ask a single question. **If the two sides met without me, what would fail?**

If there's no answer, that position won't last. The closer the answer is to *nothing at all would work*, the stronger it is.

This question has now appeared three times in this book. Singapore, Visa, Airbnb.

**A question that comes up three times is worth memorizing.**

# Chapter 20 · Dubai — The Oil City Without Much Oil

## ◆ The scene

A flight from Europe to Asia lands at a city in the desert. People changing planes fill the airport.

Next to it there's a port. And next to the port there are zones where a foreign company can own itself outright and move goods in and out without customs duty.

**Oil is not a large share of this city's income.**

## ◆ The obvious reading

*A city built with oil money.*

That's how it started. But this city's oil has not been plentiful for a long time. Even inside the same country, the oil is somewhere else.

**Having little oil is what decided this city's direction.**

If the oil had kept flowing, there would have been no reason to build anything else.

## ◆ Where the money actually goes

### Box one · Customer — who pays?

Like Singapore in Chapter 19, **the money comes from outside.** The mix is different.

**Transferring passengers.** Part of the airfare and what they spend at the airport. **Cargo and traders.** Passing through the port and the logistics zones. **Foreign companies inside the free zones.** Registration and rent. **Foreigners buying property.** Costs attached to transacting and holding. **Tourists.**

All five arrive from abroad.

As Chapter 1 taught: **this city's policy is designed toward those five.**

### Box two · Value — what are they paying for?

**Flight radius — access.**

An enormous population sits within a few hours of this position. Europe, Africa, South Asia and East Asia all branch from a single point. Which makes it a good place to change planes.

If Singapore in Chapter 19 is the junction of the sea lanes, this is the junction of the air lanes.

**Certainty, relative to the surroundings.**

Chapter 2 said certainty is a relative value.

The perception that this is where contracts and property are reliably protected in the region is a substantial part of what this city sells.

**That there is almost no tax.**

Personal income is barely taxed, and inside the free zones the corporate burden is low. So high-earning people and companies move.

### Box three · Payment — how does it collect?

**This is the unusual part. It doesn't tax — it charges another way.**

Lower the tax and revenue falls. What fills that space?

**Rent and registration.** Entering a free zone means registering and leasing space. More companies, more of this income. Chapter 3's sixth method, rent.

**Tolls.** Collected on volume passing through the airport and the port. Same character as Chapters 11 and 19.

**Property.** Every transaction generates fees and registration costs, and government-linked companies profit directly from development and sales.

**Fees of every kind.** Visas, permits, renewals.

Summed up:

**Instead of pricing income, it prices every procedure required to be here.**

The trade-off in that structure is sharp.

In good times transactions are plentiful and revenue climbs steeply. In bad times transactions stop and revenue falls just as steeply.

**It is far more sensitive to the cycle than income tax is.**

### Why hold the airline and the airport together

This is the part of the city's design worth studying.

More routes flown means more transferring passengers; more passengers means a larger airport; a larger airport allows more routes.

And some of those passengers stay as tourists, while the cargo goes to the logistics zones.

**Held separately, each party protects its own profit and the loop doesn't turn.**

When one actor holds both, it can make decisions that take a loss on one side to grow the other.

Same principle as the NFL in Chapter 17. A design that shaves the part to grow the whole.

### ◆ Why hasn't anyone taken it?

**Position and time zone.** Not copyable.

**Scale built early.** Airports, ports and logistics zones don't get built in a few years. And the loop above is already turning.

**Institutions claimed first.** Zones permitting full foreign ownership, fast incorporation, separate courts for commercial disputes — all built ahead of the demand.

Building the same institutions later gives nobody a strong reason to move away from a place already established.

**Clustering.** Same as Chapter 19. Companies gathered attract talent and services, and those attract more companies.

### ◆ Where does it break?

**It's tied to the property cycle.**

Because box three comes out of transactions, when property cools the public finances cool with it. And property runs in cycles by nature.

**The "condition" Chapter 5 talked about is, here, the business cycle itself.**

**Neighbors do the same thing.**

Nearby countries are investing heavily in tourism, logistics and attracting companies.

Box two's certainty is a relative value — and **when the surroundings improve, that value falls.**

The same risk as Singapore in Chapter 19, except here the competitors are closer and moving faster.

**Regional demand still rests on oil.**

The city itself has low oil dependence. But much of the money and many of the people coming to it earn their living in a region that runs on oil.

**It depends not on oil but on the oil economy** — one layer removed, which is why it's hard to see.

**The labor structure.**

A large share of the workforce running the city is low-wage foreign labor. As international scrutiny of that grows, it affects both corporate recruitment and tourism.

Chapter 5's regulatory and reputational path.

## ◆ The five boxes

| Box | Dubai |
|---|---|
| **1. Customer** | Transit passengers · cargo · free-zone companies · foreign property buyers · tourists. **All foreign** |
| **2. Value** | The junction of the air lanes (access) + certainty relative to the region + almost no tax |
| **3. Payment** | **It doesn't price income. It prices procedures.** Rent · registration · tolls · property transactions |
| **4. Moat** | Position and time zone · scale built early · institutions claimed first · airline and airport held together |
| **5. Fault Line** | Property-cycle sensitivity · neighbors catching up · indirect dependence on the oil economy · the labor structure |

## ◆ Could you build this where you are?

The most transferable thing here is the idea behind box three.

> **Don't price your largest source of value. Price every procedure around it.**

That isn't a country-only move. Giving away the main thing cheaply and recovering it around the edges is the same family as the subsidized structures in Chapter 1.

You see it constantly in platform businesses.

Signing up is free. Basic use is free. But doing anything properly means paying, verifying, integrating, or removing ads.

**The revenue isn't the main thing. It's every procedure beside it.**

Dubai supplies one warning for anybody using this structure.

**Revenue collected on procedures is attached to transaction volume, and transaction volume rides the cycle.**

It swings far harder than revenue attached to income.

So when you choose this structure, write box five down alongside box three.

**A structure that's good in a boom is usually a bad one in a bust.**

Chapter 14's Marriott question about cost flexibility turns up here from the other side.

## ◆ Sources for this chapter

This chapter is written from the city's revenue structure only. Oil as a share of output is not given as a figure, because current primary sources for it could not be confirmed.

### ◆ Try It Yourself

Pick one service you use often where **the basics are free but doing it properly costs money.**

Write down every point where money attaches. Storage, exporting, integrations, removing ads.

Written out, you can see it: the revenue isn't the main product. **It's all the procedures beside it.**

And one more thing to hold on to.

Revenue earned this way is attached to transaction volume, so it rides the cycle hard.

**A structure that's good in a boom is usually bad in a bust.**

# Chapter 21 · The Netherlands — Too Little Land, So It Sold the Method

## ◆ The scene

You go to the supermarket in winter. There are tomatoes. There are bell peppers. It's midwinter and the price hasn't jumped, and the size and color are uniform.

That tomato didn't grow in a field.

It grew in a glass-covered space with its temperature, light, water and carbon dioxide regulated. Plenty of them didn't grow in soil at all.

The country where those glasshouses are clustered has very little land. And it ranks near the top of the world in agricultural exports.

In 2025 this country's agri-food exports came to **€137.5 billion.**[1]

But that number can't be read straight.

Mixed into it are goods made in other countries that merely passed through this one.

What the country's economy actually earned from those exports was **€49 billion** — €43.5 billion attributable to domestically produced goods and €5.7 billion to re-exports.

**Export value and money earned are different things.**

Miss that distinction and you'll see this country's agriculture as larger than it is.

## ◆ The obvious reading

*Agriculture needs a lot of land.*

Measured as output per unit of area, that sentence wobbles.

And output isn't this country's real distinguishing feature either.

**Money earned selling produce and money earned selling the method of growing it are different in kind.**

That difference is what this chapter is about.

## ◆ Where the money actually goes

### Box one · Customer — who pays?

Three kinds. And the three are nothing alike.

**European consumers and retailers.** They buy tomatoes, peppers and flowers. **Growers and agricultural companies worldwide.** They buy seeds and seedlings. **Foreign governments and companies.** They buy greenhouse equipment, designs and operating knowledge.

The first is raw product. The second and third are knowledge.

The distinction from ARM in Chapter 8 comes back here.

**Making and selling and selling the method of making are different businesses.**

### Box two · Value — what are they paying for?

**What retailers buy is certainty.**

Even in winter, product of the same size, color and sweetness arrives on a fixed date in a fixed quantity.

As Chapter 2 said, this is a position where the winner isn't the best — **it's the one with the smallest variance.**

For a large retailer this is decisive.

They have hundreds of stores whose shelves have to be filled, and if the product arrives some weeks and not others, no plan can be made.

Distance attaches to that too. It's close by, inside Europe. Chapter 2's time type — freshness and freight cost solved together.

**What growers buy is risk removal.**

A proven variety comes with predictable yield and disease resistance.

Farming happens once a year, so the price of failure is high. As Chapter 2 noted, **that's a position where losses feel heavier than gains,** which is what allows the price to be high.

### Box three · Payment — how does it collect?

**Raw product is a sales margin.** The most common and the weakest method. The market sets the price, and it swings with weather and energy costs.

**Seed is closer to licensing and royalties.**

Rights attach to a variety. Planting it means paying for it. Same structure as ARM in Chapter 8. **Develop once, sell many times.**

**Knowledge and equipment are sold as projects.** Design the greenhouse, build it, teach how to run it.

The three carry different margins. Raw product is the lowest. Seed is the highest.

**Which is why the value added in this country's agriculture sits not in the field but in the laboratory and the design office.**

### Why did having too little land work in its favor?

With a lot of land, you plant widely. Planting widely gives you little reason to raise the yield per unit of area.

With no land, there's only one road.

You have to find a way to harvest more from the same area — and that method itself becomes the product.

**The constraint changed box two.** Unable to sell land, it ended up selling the method.

### ◆ Why hasn't anyone taken it?

**The clustering.**

Research institutes, seed companies, equipment makers, growers and distribution all sit inside a small area.

A new variety gets tested immediately, and a problem gets fixed immediately.

**The speed of that exchange is itself the competitive advantage,** and it doesn't arise when the parties are scattered.

Chapter 4's network effect — operating among industry participants rather than consumers.

**Plant variety rights.**

Protected by law. Chapter 4's intangible asset. But as Chapter 4 warned, **it has an expiry date.** Which is why new varieties have to keep coming.

**Logistics position.**

A major port and a major airport are close by. Decisive for products like cut flowers where time is everything. Chapter 4's location.

**Cooperative structure.**

Growers pooled together and selling jointly can negotiate with large retailers.

An individual grower facing them alone doesn't set the price — they accept it.

Same principle as the NFL in Chapter 17. **Sell as a bundle and the price goes up.**

### ◆ Where does it break?

**It swings hard on energy prices.**

Glasshouses spend energy on heat and light. When energy prices rise, cost rises immediately, and if the price can't be raised the result is a loss.

**In Chapter 5's terms, this is a condition the moat stands on.**

Let the condition *energy is available at a manageable price* wobble, and the strength called yield-per-area converts directly into a cost burden.

**The textbook form of a moat becoming a liability.**

**Environmental regulation.**

Intensive livestock and protected agriculture generate nitrogen and wastewater problems.

As rules tighten on emissions, output has to come down. Chapter 5's first path — and in this country it has already arrived.

**Selling the knowledge creates competitors.**

Export greenhouse design and operating methods and that country starts doing the same thing.

And that country may have cheaper energy, cheaper labor, or a closer market.

**That is this business's structural dilemma.**

Knowledge export carries the high margin, and the more of it you sell, the more competitors you create for the raw-product business.

Chapter 5's growth trap, playing out between two businesses inside one country.

## ◆ The five boxes

| Box | Dutch agriculture |
|---|---|
| **1. Customer** | European retailers (produce) + growers worldwide (seed) + governments and companies (equipment and knowledge) |
| **2. Value** | For retail, **supply without variance** (certainty) and short distance. For growers, risk removal |
| **3. Payment** | Sales margin (thin) + variety royalties (fat) + projects. **The value added is outside the field** |
| **4. Moat** | Research, seed, equipment and distribution clustered · variety rights · port and airport · cooperative bargaining power |
| **5. Fault Line** | Energy prices · environmental regulation · **the dilemma of knowledge export creating competitors** |

## ◆ Could you build this where you are?

Attempts to transplant this structure are already everywhere. Greenhouse subsidy programs, controlled-environment agriculture ventures, indoor and vertical farming funded on the strength of the equipment story.

Most of them concentrate on the equipment.

**What this chapter is about is not the equipment. It's box three.**

Building facilities to sell more produce is still a sales-margin business. The market sets the price, energy costs shake it, and when others build the same facilities the price falls.

**Capital spending alone does not change the grade of a business.**

There are exactly two places where the grade changes.

**One is the variety.** The position that collects a royalty.

Which takes far longer than building a facility, which is why almost nobody takes it on.

**The other is the power to sell as a bundle.**

A cooperative structure that can genuinely negotiate with large retail.

Growers selling individually can't produce box two's *supply without variance.* Supply without variance requires scale, and scale requires pooling.

**Both are more boring and slower than construction.**

Which is why most people build the facility first. And why for most of them the price never goes up.

## ◆ Sources for this chapter


1. Statistics Netherlands (CBS) and Wageningen Economic Research, joint analysis of 2025 agri-food export figures — export value, income from

domestically produced goods, and income from re-exports.

### ◆ Try It Yourself

Next time you shop, pick one vegetable or fruit and look at where it was grown.

Then search for one more thing. **Who created that variety?**

Usually the owner of the field and the owner of the variety are different. And more of the money stays with the variety.

That single fact isn't about agriculture.

**Making and selling and selling the method of making are always different businesses.**

It's worth checking which side of that line your own work stands on.

# Chapter 22 · Israel — No Water, So It Sold the Way to Use It

## ◆ The scene

There's a field in the middle of a desert. No sprinkler is throwing water.

Instead, black tubing runs along the base of the crop, and from holes punched in the tubing water falls in drops. Very slowly, directly above the root.

Almost nothing evaporates. Nothing runs off. Fertilizer goes into that same water and travels straight to the root.

The Netherlands in Chapter 21 had no land, so it ended up selling the method. This country **had no water, so it ended up selling the way to use water.**

## ◆ The obvious reading

*Short of water means agriculture is at a disadvantage.*

Obviously true. And this country never removed the disadvantage. It is still short of water.

**What it did instead was turn farming under that shortage into a product.**

And the market for that product is not domestic. There are a great many countries short of water.

## ◆ Where the money actually goes

**Box one · Customer — who pays?**

There are domestic growers, but the market is small.

The large customers are **outside.**

Growers in water-scarce regions, large agricultural companies, and national governments. Water scarcity is a national-scale problem, so governments often commission directly.

Through Chapter 1's lens, that's this business's distinguishing feature.

**The home market isn't a customer. It's a test site.**

Prove it at home, then sell what's been proven abroad.

**Box two · Value — what are they paying for?**

**Harvesting more from the same water.**

Not Chapter 2's time type — closer to **cost reduction.** And in a region with no water at all it becomes **access:** without the method, that land grows nothing.

**And risk removal.**

When a drought comes, the harvest wobbles less. As Chapter 2 said, risk removal is a position that prices well.

One more thing attaches. **For a government this is a security question.**

Food and water aren't calculated on price alone. Which means the budget attached can exceed the commercial arithmetic.

### Box three · Payment — how does it collect?

Several methods overlapping.

**Equipment sales.** Tubing, valves, filters. A sales margin.

But this part is consumable, so **repeat purchase happens.** It takes on a character similar to the subsidized structures in Chapter 1. Install the system once and parts and consumables are needed forever after.

**Projects.** Design it, build it, teach the operation.

**Licensing and technology transfer.** The same position as ARM in Chapter 8 and seed in Chapter 21. Low replication cost, so the margin is high.

**Desalination and water reuse.**

It isn't only irrigation. It's water as a whole. The share of wastewater treated and returned to agricultural use is extraordinarily high.

In figures: this country collects and treats **94% of its wastewater and reuses 87%** of it — the highest reuse rate among OECD member countries. Desalination facilities supply more than 80% of municipal water.[1]

**The country with no water became the country that uses water the most times over.**

## ◆ Why hasn't anyone taken it?

**Field data has accumulated.**

How much water, on which crop, in which soil, at what time, cannot be derived from calculation alone. It needs decades of actual cultivation records.

Chapter 4's category of things **made by time and therefore unbuyable with money.**

**Patents.**

Rights covered the original method. But as Chapter 4 said, **they expire.** And in this business that expiry has already passed.

**The whole country is a test site.**

New methods are run at home and confirmed before being exported. That's hard for a company in another country to imitate, **because the water shortage itself is the research environment.**

**Research and startups sit next to each other.**

People circulate through a structure connecting the military, universities and new companies. Same principle as the clustering in Chapter 21.

## ◆ Where does it break?

**When the patent ends, the copies come.**

Tubing and valves are not complicated objects. Once the rights lapse, somewhere with cheaper labor makes them far cheaper.

**That breaks the equipment-sales part of box three.**

What's left is design and operating knowledge, and that's small by revenue.

In Chapter 5's terms, **the risk of failing to move to the next moat after the current one's expiry date passed.**

**Water technology becomes ordinary.**

As water scarcity becomes a global problem, many countries and companies enter the field.

The extinction path from Chapter 2. **Widen the door and access loses its price.**

**Geopolitics.**

When political reasons close off trade with a particular country, a chunk of the market disappears at once.

And water-scarce regions overlap considerably with politically sensitive ones. **The market and the risk sit in the same place.**

**Water is itself a political question.**

Allocating water resources across borders is a source of conflict. Selling the technology is not separable from that conflict.

## ◆ The five boxes

| Box | Israeli water and agricultural technology |
|---|---|
| **1. Customer** | Growers, companies and governments in water-scarce regions. **Home is not a market but a test site** |

| Box | Israeli water and agricultural technology |
|---|---|
| **2. Value** | More harvest from the same water; access where nothing grows otherwise; drought risk removed |
| **3. Payment** | Equipment (with repeat consumable purchase) + projects + technology licensing |
| **4. Moat** | Decades of field data · the whole country as a test site · research linked to new companies |
| **5. Fault Line** | **Cheap copies after patent expiry** · the field becoming crowded · geopolitics |

## ◆ The two agricultures side by side

Chapters 21 and 22 are both cases where a constraint produced a strength. What they sold is different.

| | Netherlands | Israel |
|---|---|---|
| Constraint | Too little land | No water |

| | Netherlands | Israel |
|---|---|---|
| What it sold | Varieties and facility operation | The method of saving water |
| Role of the home country | Producer and exporter | Mostly a test site |
| Core moat | Variety rights + clustering | Field data |
| Dilemma | Knowledge export creates competitors | Patents expire and get copied |

**That last row is the same problem wearing two faces.**

A business selling the method gives away a little of its own position every time it sells.

ARM in Chapter 8 had the same problem. A structure where the customer becomes the competitor.

There is only one way around it.

**Keep something ahead of what you're currently selling.**

Fail at that and a business of this type will certainly be caught.

### ◆ Could you build this where you are?

If water isn't scarce where you are, importing this technology directly doesn't mean much.

**What transfers is the idea.**

> **Among the disadvantages we're living with, which ones will other places soon be living with too?**

This country hit water scarcity early, solved it early because it hit it early, and sold the solution to the countries that hit it later.

**The time difference became the product.**

Read that way, the candidates are everywhere.

Populations aging faster than the systems built for them. Rural regions emptying out. Water scarcity across the American Southwest and southern Europe. Grids strained by intermittent renewable supply. Wildfire seasons that no longer end.

All of them are problems right now. And a good many other places are about to meet the same ones.

One condition, though. **You actually have to solve it.**

Living through a problem doesn't produce a product. You live through it, solve it, and then put the solution into a form somebody else can use.

The condition from the end of Chapter 8 — **documented and verified** — returns here.

### ◆ Sources for this chapter


1. OECD, *Israel's sustainable water management plans*, and published statistics from the Israel Water

Authority — wastewater collection, treatment and reuse rates, and the desalination share of supply.

### ◆ Try It Yourself

Write down one **uncomfortable condition** you're living with right now. Not enough people, not enough space, not enough time — anything.

Then ask: **will other places meet this problem soon?**

If the answer is yes, that discomfort becomes a product later. Whoever meets it first solves it first.

One condition, though. **Living through it isn't enough. You have to actually solve it.**

And then put the solution in a form somebody else can use.

That documenting work is what the country in this chapter spent decades doing.

# Chapter 23 · Norwegian Salmon — When the License Costs More Than the Fish

### ◆ The scene

There's salmon at the supermarket fish counter. There is all year round. The price doesn't leap with the seasons, and the size and color are mostly uniform.

It wasn't caught at sea. It was raised.

Net pens are floated in narrow, deep fjords, fed, and grown for a few years.

And floating those pens requires **a license.**

The number of licenses is set by the government. Having money does not get you one.

**Which is why in some periods the license is a more expensive asset than the fish.**

### ◆ The obvious reading

*Fishing is catching things and selling them.*

Farming isn't catching, it's raising. Most people know that much.

But think about aquaculture the way you think about agriculture and you'll miss the important part.

**Farmland can be bought. Aquaculture licenses come in a fixed number no matter how much you want to buy.**

That difference creates the entire profit structure of the industry.

### ◆ Where the money actually goes

**Box one · Customer — who pays?**

**Importers and distributors worldwide.** The consumer is behind them.

Most of the production is exported — to Europe, Asia, the United States.

Which makes this industry sensitive not to domestic consumption but to **exchange rates, air freight, and the regulations of the receiving country.**

### Box two · Value — what are they paying for?

**Uniform supply all year.** The same value as the Dutch tomatoes in Chapter 21. Chapter 2's certainty.

Wild catch swings wildly with the season and the run. A large retailer cannot fill shelves with a product like that.

**The volume being steady is itself the price.**

**Freshness.**

It travels to distant countries in a state not long out of the water. Sent by air, it's on an Asian shelf within two days.

Chapter 2's time type — and it only works while the price is high enough to absorb the air freight.

### Box three · Payment — how does it collect?

On the surface it's Chapter 3's first method, sales margin. Raise it, sell it.

**But the reason the margin holds is not the selling method. It's the license.**

In an ordinary sales-margin business, a good price attracts entrants, supply rises, and the price falls.

Here that can't happen, because the number of licenses is fixed. However good the price gets, you cannot add pens at will.

So this happens.

Demand rises, supply can't follow, the price goes up, and that profit goes to the incumbents.

**A structure where a supply limit defends the margin.**

And as a result, the license itself acquires a price. A market emerges for buying, selling and leasing them.

### ◆ Why hasn't anyone taken it?

**The license — a moat made by law.**

The first of Chapter 4's intangible assets: permits and licenses.

Chapter 4 called this **the most certain and the laziest moat.** Certain, because money can't get you in. Lazy, because it disappears when the law changes.

**Geography.**

Salmon farming has demanding requirements. The right water temperature, enough current, a bay sheltered from the waves.

Few countries have that terrain. Chapter 4's location — and **this is a safer moat than the law.**

**Industrial clustering.**

Feed, vaccines, smolt, processing and logistics all sit inside one country. Same structure as Chapter 21. Problems get fixed fast.

**Scale.**

Feed is a large share of cost in aquaculture. Buying in volume makes it cheaper. And the capacity to invest in disease management and automation comes from scale.

### ◆ Where does it break?

The risk in this industry comes straight out of box four's first layer.

**When the moat is law, the risk is law.**

**The tax changes.**

The argument surfaces that profit created by a supply limit came from the system rather than from the operator's effort.

Once it does, a discussion starts about taxing that profit separately.

And that discussion actually reached a conclusion.

Norway's parliament introduced a **resource rent tax** on salmon and trout farming in 2023. It applied retroactively from 1 January 2023, at an effective rate of **25%.** A deduction up to NOK 70 million per year keeps small operators out of it.[1]

The government's stated rationale says this chapter's thesis for us.

**"So that the population shares in the excess return generated by using commonly owned natural resources."**

In effect, the government officially recognized that the profit was made by the license.

As Chapter 5 said, **a business resting on regulation watches the legislature, not its competitors.**

And this risk announces itself. It gets debated for years before it arrives.

**Disease and parasites.**

Raising fish densely in a small space circulates disease. Sea lice are a chronic cost driver in this industry.

And when the problem worsens, regulation tightens, and tighter regulation lowers output.

**Environmental issues squeeze the licenses.**

Feed residue and waste, the effect of escapees on wild populations, the spread of parasites — as these become issues, new licenses get harder.

**In the short term that favors incumbents,** because supply is limited further.

**In the long term the whole industry shrinks.** Chapter 5's change of conditions.

**Land-based farming and alternative protein.**

If raising fish in land-based tanks rather than the sea takes hold, the geography moat and the license moat become meaningless at the same time.

Raise it near the consumer and the air freight isn't needed either.

Chapter 5's technological substitution — and here too, it doesn't come head-on.

**Not better sea farming. A road where the sea isn't needed.**

## ◆ The five boxes

| Box | Norwegian salmon farming |
|---|---|
| **1. Customer** | Importers and distributors worldwide. Most production is exported |
| **2. Value** | **Uniform supply all year** (certainty) + freshness (time) |
| **3. Payment** | Sales margin. But **what defends the margin is the license limit, not the selling method** |
| **4. Moat** | Licenses (made by law) · geography (safer than law) · industrial clustering · feed scale |
| **5. Fault Line** | **Rule changes and resource rent tax** · disease and parasites · environmental regulation · land-based substitution |

## ◆ Could you build this where you are?

License systems that function as tradable assets exist in fishing and aquaculture in most countries, so box four here is not an exotic story.

**What's worth transferring is box five's lesson.**

A business defended by a license is comfortable. Competitors can't get in.

But as Chapter 4 said, **it's the laziest moat.** And enjoying a lazy moat for a long time does two things.

**One, you stop building any other moat.**

With no competitive pressure there's little reason to lower cost or raise quality. And when the rules change, there's nothing left.

**Two, the profit becomes visible.**

Profit that exists because of a rule inevitably becomes a political issue.

The question arrives: *isn't that profit coming out of a public resource?*

That is exactly what happened in Norway.

So what a license-holding business has to do is fixed.

> **While the license is protecting you, build the thing that would remain without it.**

Cost advantage, genetics, processing technology, brand — whichever.

It's the work of *changing moats* from Chapter 5, and **every business holding a license moat carries this homework without exception.**

### ◆ Sources for this chapter


1. Government of Norway (regjeringen.no) and the Norwegian Tax Administration (Skatteetaten), *Resource rent tax on aquaculture* — introduction date, rate, deduction threshold, and stated rationale.


### ◆ Try It Yourself

Think of one business near you that is **protected by a license or permit.** Taxis, pharmacies, liquor sales, broadcasting, any regulated trade.

Then ask: **if that license were lifted tomorrow, what would be left?**

If not much would be left, the business stands only on a rule.

Which is why what a license holder has to do is fixed.

**While the license protects you, build the thing that would remain without it.**

That sentence transfers to your own work exactly as written. What is it that would remain if whatever protects you now disappeared?

# Chapter 24 · Iceland — A Sea Where the Right to Fish Is Traded

## ◆ The scene

A boat leaves the harbor. How much it may catch this year is already decided. By species, in tonnes.

That right belongs to this boat. It can be sold. It can be leased.

Which means in some years it pays better not to sail at all and to lease the right to somebody else.

**The right to catch is traded before the catching is.**

## ◆ The obvious reading

*In fishing, the more you catch the better.*

True for one boat. Reverse it across every boat and the result inverts.

Fish in the sea have no owner. If I don't catch them, somebody else does.

So everybody hurries. Bigger boats, longer trips, taking the young ones too. A few years later there's nothing left to catch.

**A structure where individually rational choices add up to everyone losing.**

It's fishing's oldest problem, and several countries have lost their grounds to it.

## ◆ Where the money actually goes

### What this country did — it manufactured a right

If the problem exists because the fish have no owner, make owners.

First, set the total that may be caught that year, scientifically. Then divide that total among the vessels. And then **allow those shares to be bought and sold.**

**The third of those is decisive.**

What happens once shares trade?

A low-efficiency boat does better selling its share than fishing it. So it sells.

A high-efficiency boat buys it. So the same total gets caught by fewer boats, more cheaply.

And once a share is an asset, **future catch becomes the value of your own asset.**

Overfish and the total falls; when the total falls, your share is worth less. **The reason to hurry disappears.**

A case where a single rule changed every box from one to five.

### Box one · Customer — who pays?

**Seafood importers and distributors worldwide.** Same as Chapter 23.

And there's one more, domestically. **Other fishing operators buying or leasing shares.**

A second market created by the rule.

### Box two · Value — what are they paying for?

**Supply that doesn't stop.**

When overfishing collapses a ground, the supply disappears. Being able to say the resource is managed becomes a condition of a long contract.

Chapter 2's certainty — here in the form of **certainty that you can still buy this in a few years.**

**Quality.**

Not having to hurry changes how the fish is caught. Time can be spent on handling after the catch, and that fetches a higher price.

**The rule changed the quality too.**

**Certification.**

Sustainable fishery certification is a requirement of large European retailers. Without it you don't reach the shelf. Chapter 2's access.

### Box three · Payment — how does it collect?

**Sales margin.** Catch it, process it, sell it.

**Trading and leasing shares.** Closest to Chapter 3's sixth method, rent. You hold an asset and lend it out. Except the asset is a right, not an object.

**Processing raises the price.**

Sold raw, the price swings with the market. Filleted, and with collagen, oil and feed extracted from the by-products, the value coming out of the same fish is larger.

Same principle as Chapter 21. **The value added isn't in the catching. It's in what comes after.**

### ◆ Why hasn't anyone taken it?

**The fishing grounds.** Chapter 4's location. They can't be moved.

**Being first to the rule.**

Another country could adopt the same system. It's just difficult — because it means telling people who already own a lot of boats that they may no longer fish.

**The hard part isn't designing the rule. It's getting past the political resistance.**

The country that went first has already paid that cost.

The inverse of Chapter 4's "failed pursuer." **Having crossed a threshold others haven't crossed is itself a**

**moat.**

**Processing and logistics integrated.**

Catching, processing and exporting sit next to each other inside one country.

## ◆ Where does it break?

**Shares concentrate in few hands.**

If they can trade, they gather where efficiency is highest. That is the point of the system.

And the result is that shares concentrate in a few companies.

Which becomes a political problem.

The argument arrives that the sea belongs to everyone while a handful take the profit.

The identical problem to Norway in Chapter 23. **Profit created by limiting supply always summons a distribution argument.**

And the response comes from the same direction: a catch fee or a separate tax. Chapter 5's first path, and **when the moat is law, the risk is law.**

**Species move.**

When sea temperatures change, fish go to other waters. Then a country's share system doesn't reach that fish.

Species straddling several countries lead to allocation disputes between governments.

**In Chapter 5's terms, this is a change of conditions.** *That the fish is in our sea* is the rule's premise, and the premise is moving.

**Concentration in one industry.**

When fishing is a large share of exports, the national economy swings with the catch and with global seafood prices.

The country-level risks from Chapters 19 and 20, appearing here as dependence on a single industry.

### ◆ The five boxes

| Box | Icelandic fisheries |
|---|---|
| **1. Customer** | Seafood importers worldwide + **domestic operators buying and leasing shares** |
| **2. Value** | Certainty of still being able to buy in a few years + quality improved by not hurrying + certification (access) |
| **3. Payment** | Sales margin + **trading and leasing the right** + value added by processing |
| **4. Moat** | Fishing grounds (location) · **the political threshold crossed first** · processing and logistics integrated |

| Box | Icelandic fisheries |
|---|---|
| **5. Fault Line** | Concentration of shares and the distribution argument · species moving · single-industry dependence |

## ◆ The two fisheries side by side

Chapters 23 and 24 both **defend a price by limiting the right to catch or to raise.**

| | Norway | Iceland |
|---|---|---|
| What's limited | The places you may farm | The amount you may catch |
| Purpose of the limit | Environmental management and order | **Preventing depletion** |
| Trading the right | Permitted | Permitted |

| | Norway | Iceland |
|---|---|---|
| Problem created | Concentrated profit → resource tax debate | Concentrated shares → distribution argument |

**The same problem arose in the same way.**

Limit supply and the price holds; the price holding creates profit; and once it's visible that the profit came from a rule, politics enters.

This isn't about fishing.

Taxi medallions, broadcast licenses, liquor licenses, every regulated trade walks the same path.

**Everything Chapter 4 meant by calling licenses "the laziest moat" is contained here.**

### ◆ Could you build this where you are?

Total allowable catch systems and tradable quotas exist in many fisheries now, in various forms and with varying success.

**What transfers from this chapter isn't the system. It's the principle inside it.**

> **Depletion of a shared resource is solved by designing rights, not by appealing to morality.**

*Let's all catch less* does not work. If I catch less, somebody else catches more.

**Behavior changes only when what I didn't take becomes my asset.**

The principle is used well outside the sea.

Shared parking, meeting rooms in a shared office, pooled server capacity, and emissions trading schemes are all the same design.

And wherever it's used, the same two pieces of homework follow.

**Who gets how much at the start?** This is where most of the conflict lives.

**Trading concentrates the shares — so how far is trading allowed?**

Without answers to those two, the system gets adopted and doesn't run.

Those two were exactly the threshold Iceland crossed.

## ◆ Sources for this chapter

This chapter is written from the design principles of the quota system only. The introduction dates, the details of the allocation rules, and the level of catch fees are not given as figures, because primary sources for them could not be confirmed.

### ◆ Try It Yourself

Think of one thing shared among several people that is **always in short supply.** A meeting room, a parking space, shared equipment, a common budget.

Then ask: **does the person who uses less come out ahead?**

If not, that resource will stay short. Appeals won't change it.

**Behavior changes only when what I didn't use becomes mine.**

That one principle works identically at sea, in the meeting room, and in an emissions market.

And the moment you saw that, you were already using the five boxes.

# Closing — Now It's Your Turn

**◆ Other people's businesses are easy. Yours is hard.**

We've dissected eighteen businesses together.

Reading them, some chapters made you think *that makes sense*, and some made you think *hold on, this one's different.*

**The second reaction matters more.** It means you started using the tool.

One exercise is left. Filling the five boxes in **for what you do.**

Fair warning: this is the hardest thing in the book.

Somebody else's company is seen from outside, so its structure is visible. Yours is seen from inside, so it isn't.

From inside you see the day's work. You don't see the shape of the business.

### ◆ The five questions, pointed at yourself

**1. Who is my customer?**

Check whether the person you deal with and the person who pays are the same person.

If you work for a company, add one more question. Whose pocket does my salary ultimately come out of? Follow the path all the way.

**The shorter the distance between that person and your work, the safer your position.**

**2. What is that person paying for?**

Answer with the inconvenience you remove, not the thing you make.

Time? Risk? Access? Status? Certainty?

If no answer comes, **it isn't a product yet. It's a hobby.**

**3. How do I collect?**

Take the seven methods you aren't using and try each one against your case.

If you're collecting a sales margin now, what happens if you switch to a subscription? If you're paid afterward, is there a way to be paid first?

**Most of the room for improvement lives in this box.** It's the only one where the business changes without the product changing.

**4. Why does it have to be me?**

Is there something a competitor arriving with ten times the money couldn't buy?

If not, are you in the middle of building one?

If you're employed, the question rephrases cleanly. **Is there something that would go wrong for the company**

**if you quit tomorrow?**

That's your moat. If there isn't one, you have to build it.

**5. Where does it break?**

Write down the condition that protects you today, and write down how long that condition holds.

Then decide what signal will tell you the condition is starting to move.

**Decide the signal in advance or you won't recognize it when it arrives.**

## ◆ Where this book could be wrong

Something has to be said honestly.

The five boxes look at **the structure of a business.** So they can't see what lies outside the structure.

How well a company is operated, how well it uses people, how quickly it decides — none of that fits in this frame.

And in reality those things also decide, heavily, whether a company lives.

There are companies with good structure that fail on execution, and companies with bad structure that last a long time because their execution is overwhelming.

**The five boxes tell you the range of what's possible. They don't tell you the outcome.**

One more thing. This frame is strong at explaining what has already happened and weak at judging something new that has no market yet.

Point the five boxes at a business whose customer and value aren't settled and you get five blanks.

When that happens, the blanks mean *a business not yet known,* not **a bad business.**

Miss that distinction and you'll end up thinking everything new is bad.

## ◆ Finally

The goal of this book was one thing from the start.

**To make you able to read companies that aren't in it.**

Tomorrow you'll meet a company name in the news you've never seen before.

If the five boxes come up in your head on their own, and three of them fill in, and you stall on the fourth, and you go look something up because you wanted to know *why hasn't anyone taken this?* — then the book did its job.

And when that habit has stacked up for a few months, one day you'll catch yourself asking the same questions about your own work.

**That's the moment this book actually becomes useful.**

# The Second Book — The Fourth Box

◆ **The remaining thirty-six — *The Fourth Box: Why Some Businesses Can't Be Taken***

This book handled eighteen of fifty-four prepared cases. The remaining thirty-six go into the second book.

Where this book weighed **how a business earns,** the second one digs into **why it gets to keep earning.**

The fourth box and the fifth box each get chapters of their own, and every case comes paired with **a company that tried to copy it and failed.**

As Chapter 4 said: when there's a failed pursuer, the moat is proven.

This book treated that point only briefly. It's a debt the second book pays.

## ◆ The businesses it covers

| Field | Cases planned |
|---|---|
| Software | Adobe's move to subscription · NVIDIA's CUDA · Cloudflare · Shopify |
| Food | Coca-Cola's concentrate · In-N-Out · Haidilao · Chipotle |
| Finance | Robinhood's free trades · Kenya's M-PESA · Nubank · Grameen Bank |
| Lodging | Capsule hotels · citizenM · Aman Resorts · Motel 6 |
| Marketing | Dollar Shave Club · IKEA's floor plan · Liquid Death · Shein |
| Sport | Manchester United · Topgolf · Peloton · The NBA in China |
| Economies | Estonia · Switzerland · Ireland · Icelandic tourism |
| Farming | John Deere and the right to repair · Zespri · Yubari melons · Driscoll's |

| Field | Cases planned |
| --- | --- |
| Fishing | Peruvian fishmeal · conveyor sushi's vertical integration · Thai Union · abalone farming |

## ◆ And there is no third book

Fifty-four cases split across two books and it's finished.

Adding cases forever is not what this book is trying to do.

**The point is to hand over a tool, and two books is enough for a tool to sit properly in the hand.**

After that, the reader uses it on the company in front of them.

# How This Book Was Made

## ◆ One rule: nothing invented

This book contains revenue figures, shares and rankings belonging to real companies.

Numbers like that are easy to invent, and invented ones read plausibly. And once one is wrong, it can't be taken back.

So one rule governed the writing.

> **A number that couldn't be confirmed doesn't go in.**

Wherever a number was needed, the source and the specific line to look at were written down first, then actually opened and checked, and only then was the sentence completed.

**Anything that stayed unconfirmed was deleted as a whole sentence.**

### ◆ Written to stand up without the numbers

Which decided the style as well. It's written so that **the structural explanation doesn't lean on the figures.**

Even without confirming *what percentage of revenue goes out as royalties*, the explanation still holds: *cost is variable and proportional to revenue, so scale produces no economies.*

And an explanation written that way transfers to other companies unchanged.

**A number confirms an explanation. It isn't the explanation.** That distinction is what holds this book's writing up.

### ◆ On the English edition

This edition is a translation and adaptation of the Korean original.

Adaptation meant more than language. Where a chapter's argument depended on a company or a market a reader outside Korea would have no way to picture, the case was rebuilt around one that carries the same structure.

The frame, the order and the conclusions are unchanged. **Only the examples that would have failed to land were replaced.**

Amounts appear in the currency of the source they came from and are not converted, for the reason given in the front matter: exchange rates move, and a converted figure becomes wrong the moment they do.

## ◆ If something here is wrong

There will be passages that are wrong anyway. A source misread, a fact that changed in the meantime, an interpretation carried too far.

If you find one, please say so. It will be corrected in the second book.

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